



Rutgers Road to Wall Street

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Southwest Airlines Equity Research Report

INTRODUCTION & BACKGROUND



Company History

Southwest Airlines (NYSE: LUV) was created in 1967 by founders Herb Kelleher and Rollin King with the vision of creating a low-cost intrastate carrier serving Texas cities at prices cheaper than other national regulated airlines. The company officially started operations on June 18, 1971, operating with only three Boeing 737 aircraft that flew between Dallas, Houston, and San Antonio. Southwest had a unique and unconventional strategy that was disruptive to the airline industry. They had a low-fare business model that reduced maintenance, staffing, and training costs and developed their brand through a point-to-point route structure, which most other airlines did not offer at the time.

Southwest continued to grow into the 1980s and 1990s, surpassing \$1 billion in annual revenue in 1989, introducing ticketless travel in 1994, and launching its first digital platform (Southwest Airlines Home Gate) in 1995 to simplify bookings and reduce distribution fees. In 2011, Southwest acquired AirTran Airways and gained access to new markets, such as Atlanta, Mexico, and the Caribbean. This was Southwest's first expansion of its shorter-distance, point-to-point business model. Today, Southwest operates at over 120 airports across 11 countries, employs 66,000 workers and grew its Boeing fleet to over 800 aircraft, making it the world's largest operator of the Boeing 737.

Additionally, to continue to build its customer loyalty and remain true to its low-fare business model, Southwest is known for offering two free checked bags and no flight change fees. Ultimately, this is allowed Southwest to stay profitable across the past 47 years, which is a rare achievement in today's volatile airline industry.

Size of the Industry & Share of the Industry

The United States Domestic Airline Market generated roughly \$996B in annual passenger revenue in 2024. This reflects a near full recovery from pandemic-

era lows. Within the global landscape, the United States is one of the most competitive and mature aviation markets in the world, accounting for a significant portion of all global aviation activity. Domestic passenger columns have returned to roughly 850 million travels, which is slightly lower than pre-pandemic highs. Specifically, U.S. domestic demand remains heavily leisure-driven, with leisure travel making up about 75–80% of total passenger volume, while business travel has only recovered to only to about 70–75% of pre-pandemic levels.

The United States Aviation Industry is dominated by a select few airline companies. Southwest Airlines (LUV) holds 16.7% of the domestic share, competing closely with Delta (17.9%), American (17.3%), and United (16.4%), which together control more than two-thirds of all passenger traffic.

Southwest maintains this market share through it's point-to-point and low-cost business model, with over 75% of its flights under 1,500 miles. Looking ahead, the U.S. domestic airline market is projected to grow at a 2.4% compound annual growth rate (CAGR) through 2029, reflecting a mature but steadily expanding industry.

Life Cycle of the Business

Startup:

Before Southwest entered the market in 1971, the U.S airline industry was dominated by very few carriers that controlled most air networks. They often had expensive fares, complex route structures, and services built around business travelers over everyday customers. Flying was not convenient for the average US citizen. The industry lacked a true low-cost option, and customer needs for affordable, frequent, and direct service were largely unmet.

Southwest was founded to address this issue. By focusing on specific routes, the company found ways to avoid strict federal regulations and introduced a much simpler and more accessible approach to travel. They focused on point-to-point flying, fast turnarounds, and a single aircraft to reduce their operating costs. This strategy allowed the airline to consistently offer lower fares and

more reliable short-haul service, reshaping customer expectations and laying the groundwork for the modern low-cost carrier model.

Rapid Growth:

Following U.S. airline deregulation in 1978, Southwest expanded beyond Texas and began scaling its network using short-haul, high-frequency routes underserved by legacy carriers. Throughout the 1980s and 1990s, the airline grew its fleet exclusively with Boeing 737s, enabling unmatched turnaround efficiency and fare competitiveness. Southwest passed \$1 billion in annual revenue by 1989, launched the first fully ticketless travel program in 1994, and later became one of the first airlines to push digital booking via its website in 1995. Its acquisition of AirTran Airways in 2011 accelerated its reach into major hubs like Atlanta and enabled entry into international markets, including Mexico and the Caribbean. By 2015, Southwest had become the largest domestic passenger airline in the U.S., proving that low cost could scale profitably.

Mature/Stalwart:

Entering the late 2010s, Southwest was fully established as a dominant competitor, holding the highest U.S. passenger share and operating the world's largest fleet of Boeing 737s. The company's brand reputation, cost discipline, and customer-friendly policies (including no change fees and two free checked bags) built customer loyalty and helped deliver 47 consecutive years of profitability (1973–2019). In recent years however, the domestic market is changing as many other airlines are finding ways to offer premium services, international networks, while keeping fares low. This is causing Southwest's growth rate to begin to slow as they are losing their competitive edge.

Declining:

The COVID-19 pandemic exposed structural vulnerabilities in Southwest's business model: domestic leisure demand collapsed, and the airline could not offset losses through international or premium business travel like its competitors. Post-pandemic recovery has been challenged by rising labor

expenses, volatile fuel prices, and Boeing delivery delays, which have constrained capacity and increased costs. Revenue per available seat mile (RASM: a measure of fare pricing power) has been pressured by cost inflation and growing fare competition from ultra-low-cost carriers. In addition, outdated crew and scheduling systems contributed to severe operational failures such as the 2022 Holiday meltdown, damaging customer sentiment and revealing a need for modernization. At the same time, the broader industry is now shifting and focusing more on loyalty ecosystems. This could be through premium credit-card partnerships, lounge access, international reward travel, and other perks that Southwest struggles to offer due to its simpler business model. Consumers are now willing to pay slightly extra for these rewards and benefits.

Macro Trends: Southwest & Industry

The U.S. airline industry is almost fully recovered from the Covid-19 pandemic. Global air travel demand in 2024 exceeded 2019 activity by roughly 4%, highlighting the United States' growing demand for travel. However, growth is starting to slow and the industry CAGR is projected to be 2.4% through 2029, marking a transition into the mature growth stage. For Southwest, this combination creates stable travel demand but limits upside from growth.

A macro trend that greatly limits Southwest's upside is inflation. Since 2020, cumulative U.S. inflation is greater than 20%, weakening real purchasing power for middle to lower income households, which make up Southwest's core customer base. Additionally, cost and labor inflation are slimming Southwest's tight margins. Labor accounts for 30–35% of total airline operating costs, while fuel represents 23–27%. Due to both forms of inflation, average domestic fares rose about 14. Despite these higher fares, U.S. airline operating margins remain thin at only 3.4%, highlighting the limited pricing power for low-cost carriers like Southwest.

On the supply side, aircraft delivery delays have slowed industry and Southwest's annual growth. Southwest expected over eighty 737 aircrafts but only received twenty-five during 2024, greatly limiting their potential expansion. These delays are due to 2 main reasons. The first one being there

was significant supplier disruptions and labor shortages. The second one is due to a FAA flight investigation which greatly limited the 737 production rate. At the same time, the overall industry is shifting towards premium and loyalty based revenue streams. Premium international travel recorded approximately 117 million passengers in 2024, and U.S. network airlines now derive ~40–50% of total profit from loyalty programs and co-branded credit cards, an area where Southwest has limited exposure given its domestic model.

Macro Trend: How is Southwest Poised/Positioned

In today's environment, Southwest is well set up to capture growing travel demand, but it's weighed down by rising overhead and not fully positioned to take advantage of where industry profit pools are actually shifting. With rampant inflation and growing travel demand, Southwest is perfectly positioned to capture the growing trend of travelers looking for cheaper alternatives. Southwest's business model of a point-to-point network, single-fleet strategy and focus on everyday travelers allows it to keep prices relatively low and maintain demand without relying on corporate contracts or long-haul international demand.

At the same time, rising labor and fuel costs are squeezing Southwest's tight profit margins, forcing them to increase fares and lose some of their customers. Additionally, the supply side constraints are slowing down Southwest's ability to grow, especially at a time when demand is rapidly increasing. Once again, this constraint is stopping Southwest from lowering their fares and attracting those lower income travelers. Lastly, Southwest lacks in the premium loyalty ecosystem. Many other airlines are offering points and rewards where they monetize travelers through lounges, credit card partnerships, and differentiated products. Southwest participates in loyalty economics but, as a single-class, domestic-focused airline, it captures a smaller share of that upside and less attractive to frequent travelers who are willing to pay a slight premium for this upside.

Overall, Southwest is entering this mature, inflationary, supply constrained environment as one of the main players in U.S. leisure travel with a lean and

efficient model, but it has less flexibility than full service airlines when it comes to offsetting cost pressure or getting loyalty driven profit. Going forward, its performance will depend less on big swings in demand, which are mostly in its favor. It is also important to note that Southwest uses a limited number of planes, and adjusts its product and pricing strategy while still keeping the simple, straightforward experience that defines its brand.

Competitive MOAT

Southwest's competitive moat is mixed. Some parts of its model create real loyalty and efficiency, while others leave the company vulnerable in the very competitive airline industry.

Strengths:

The strongest part of Southwest's moat comes from how simple and customer-focused its operation is. The airline flies only one aircraft type, the Boeing 737, which keeps maintenance, training, and scheduling far cheaper than at airlines with multiple fleets.

Its point-to-point network (direct flights) keeps planes moving and allows Southwest to run a leaner, more efficient business. This efficiency supports customer-friendly policies that no other major U.S. carrier offers. These policies also attract loyal travelers and cost less than expected, since the average passenger checks in under one bag.

On top of these policies, Southwest ties the experience together with its loyalty program, Rapid Rewards, which encourages customers to keep flying with the airline without adding much complexity to the way they travel. Combined, these features create a type of budget service that feels transparent and dependable, giving Southwest an identity that many passengers trust.

Weaknesses:

The weaker side of the moat comes from pressures that Southwest has struggled to overcome. Airlines in general have weak moats because customers can switch easily, and Southwest has lost some of its old price

leadership as ultra-low cost carriers have grown rapidly. Southwest also has limited international exposure, which restricts access to premium long haul demand that strengthens the economics of other carriers. These weaknesses do not erase Southwest's strengths, but they show why its moat is solid in some areas and fragile in others.

Business Model

Southwest has built its business around keeping things simple, efficient, and easy for customers to understand. Its straightforward approach has helped the airline stay cost-effective while still attracting loyal travelers and generating steady revenue.

Operations Perspective:

Southwest's business model directly supports its strengths in its competitive moat by keeping the operation simple, consistent, and customer friendly. The airline runs a single aircraft fleet of Boeing 737 aircraft, which reduces scheduling complexity, keeps maintenance predictable, and helps limit operational disruptions. Its point-to-point network avoids the delays and congestion that come with large hub systems, allowing planes to spend more time in the air and less time waiting at gates. Southwest also avoids selling basic economy or tiered fare structures, which keeps the customer's experience straightforward and makes demand easier to forecast. Together, these choices reinforce a business model built on high utilization, quick turnarounds, and a consistent product that feels simpler than what most airlines offer.

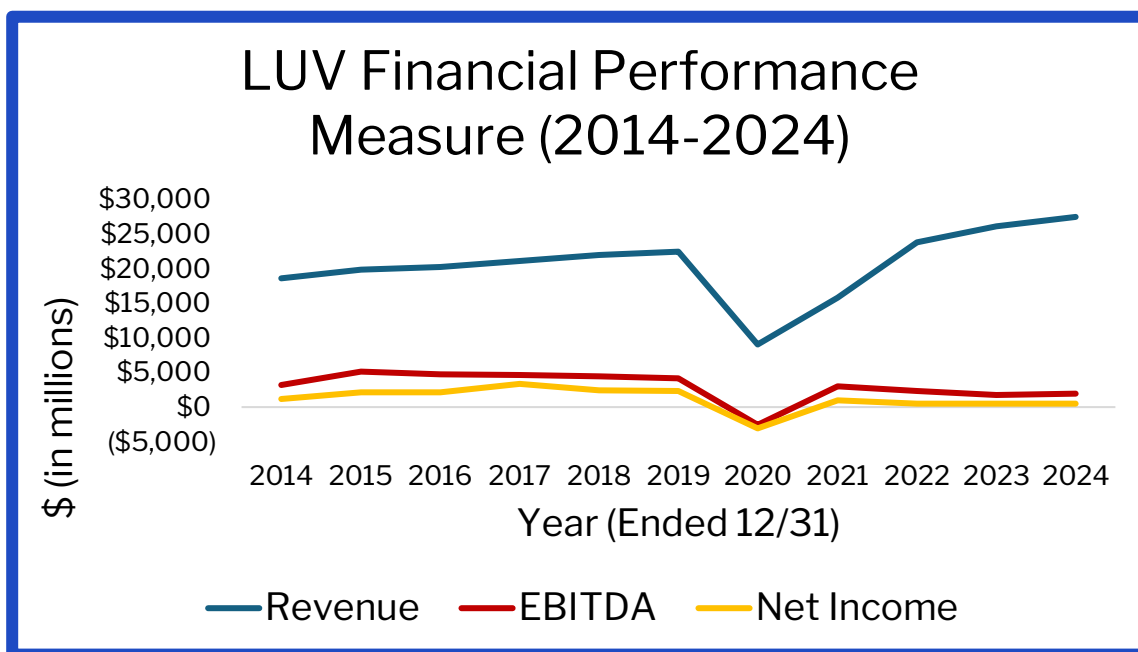
Financial Perspective:

Financially, Southwest generates most of its revenue through direct ticket sales, capturing nearly 100 percent of its sales because it does not rely heavily on third-party booking sites. This helps protect margins and gives the airline more control over pricing and customer relationships. While Southwest collects less secondary revenue than competitors that rely on add-on fees, it benefits from stable load factors supported by strong repeat travel. The company also earns incremental revenue through products like EarlyBird

Check-In, upgraded boarding positions, and vacation packages, which add to profitability without weakening the core customer promise of low fees.

Historical Growth of the Company

Southwest's long-term growth has come mostly from natural domestic expansion rather than international growth or major mergers. The AirTran acquisition in 2010 was the company's biggest strategic move, giving it access to new markets and helping revenue rise through the mid-2010s. From around 2015 through COVID, though, revenue kept increasing while profit growth slowed, which shows how difficult it is to keep expanding margins in a mature domestic airline market. The COVID period caused a sharp drop in performance, which is visible in the graph where revenue and EBITDA fall heavily in 2020, and net income moves deeply negatively. The quick rebound in 2021 and 2022 lines up with the surge in leisure travel, and Southwest had revenue recovering faster than profitability, which is typical when fuel and labor costs rise while demand returns. In the most recent years on the graph, revenue continues climbing, but EBITDA and net income level out, illustrating that Southwest is now facing higher expenses and limited international exposure that restrict margin growth. With a revenue CAGR of roughly 3.5 percent over the last five years, the company looks more like a maturing airline focused on efficiency and operational improvement rather than aggressive expansion.



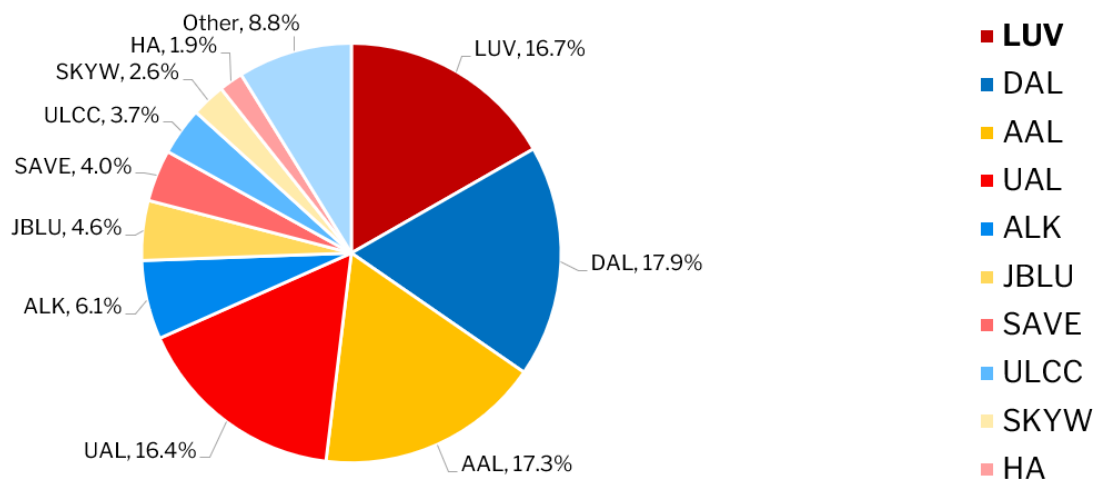
COMPETITIVE ANALYSIS



Major Players in the Industry

Southwest Airlines operates within the Airlines segment of the Industrials sector, competing with major U.S. carriers such as Delta Air Lines (DAL), American Airlines Group (AAL), United Airlines Holdings (UAL), Alaska Air Group (ALK), and JetBlue Airways (JBLU).

Sep 2024 - Aug 2025 Market Share by Domestic Revenue Passenger Miles (Total = 797.33 USD Billion)



Delta Air Lines Inc. (NYSE: DAL): Delta Air Lines was founded in 1925 in Macon, Georgia, and has grown into one of the largest global network carriers in the world. The company holds the highest domestic market share at 17.9 percent. Delta operates a mainline fleet of approximately 990 aircraft and serves more than 300 destinations worldwide, supported by major hubs in Atlanta, Detroit, Minneapolis, Salt Lake City, New York JFK and LaGuardia, Seattle, Los Angeles, and Boston. Delta differentiates itself through premium

offerings such as Delta One, its extensive Delta Sky Club network, the SkyMiles loyalty program, and a portfolio of equity partnerships, including Virgin Atlantic LATAM, and Aeromexico. The company also owns the Trainer refinery and maintains naming rights to the Delta Center arena in Salt Lake City. Delta currently carries a market capitalization of roughly 42 billion dollars.

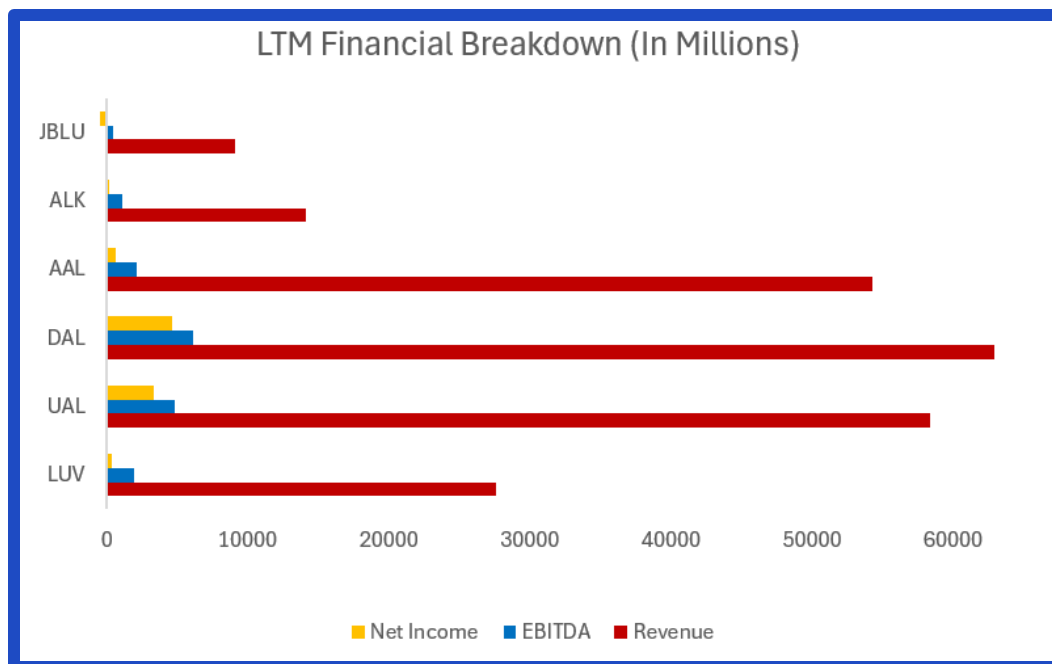
American Airlines Group Inc. (NASDAQ: AAL): American Airlines traces its origins to 1926 and is headquartered in Fort Worth, Texas. The airline maintains roughly 17.3 percent domestic market share and operates the largest commercial fleet in the world with more than 1,000 aircraft serving over 350 destinations in more than 60 countries. American operates major hubs at Dallas-Fort Worth, Charlotte, Miami, Phoenix, Los Angeles, Chicago O'Hare, New York JFK and LaGuardia, Philadelphia, and Washington National. As a founding member of the Oneworld alliance, American strengthens its competitive positioning through the AAdvantage loyalty program and its premium Flagship Suite offering on long-haul international routes. The company has a market capitalization of roughly 9.3 billion dollars.

United Airlines Holdings Inc. (NASDAQ: UAL): United Airlines was originally formed in 1926 through Varney Air Lines and is headquartered in the Willis Tower in Chicago. United holds a domestic market share of 16.4 percent and operates a fleet of approximately 1,050 aircraft serving more than 380 destinations across the United States and six continents. Its network strength is centered around major hubs in Chicago O'Hare, Denver, Houston, San Francisco, Washington, Los Angeles, and Guam. United continues to expand its long-haul presence, supported by the Polaris business class product and the MileagePlus loyalty program, which is considered one of the most valuable assets in the airline industry. United carries a market capitalization of approximately 33 billion dollars.

Alaska Air Group Inc. (NYSE: ALK): Alaska Airlines was founded in 1932 as McGee Airways and is headquartered in SeaTac, Washington. The company holds 6.1 percent domestic market share and operates a fleet of roughly 320 aircraft serving between 125 and 130 destinations primarily across the West

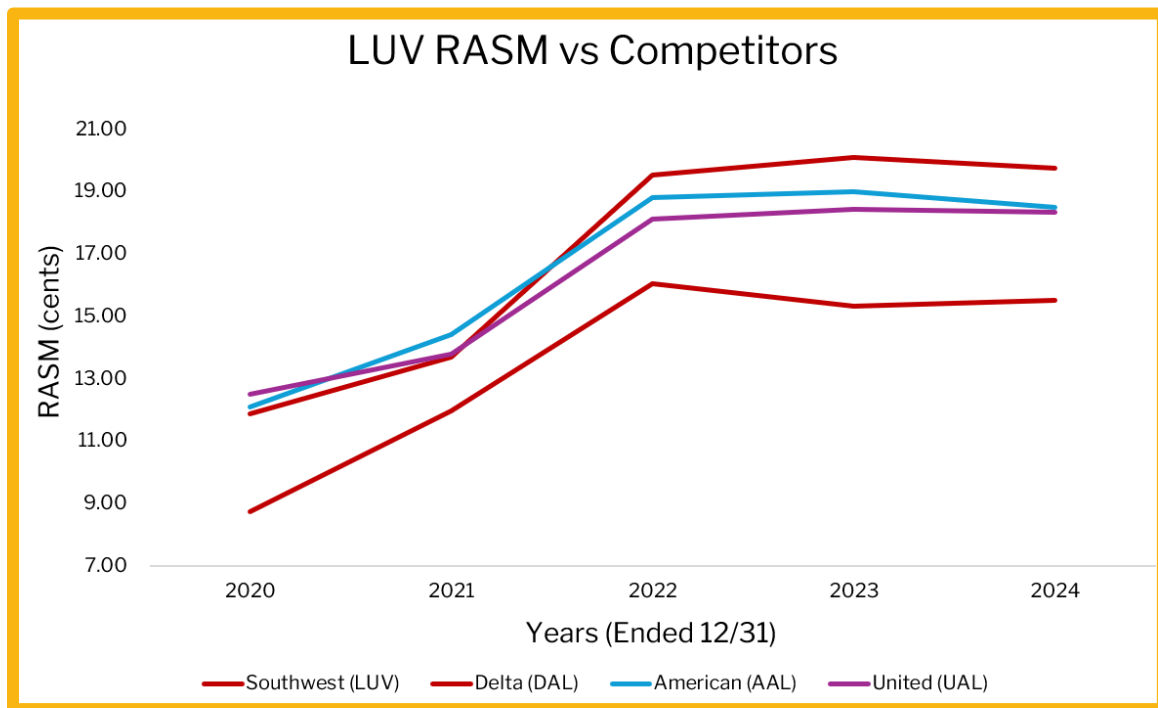
Coast, Alaska, Hawaii, Canada, and Mexico. Alaska's operations are supported by hubs in Seattle, Anchorage, Portland, San Diego, San Francisco, and Los Angeles. The company operates through subsidiaries, including Alaska Airlines and Horizon Air, and has expanded in recent years through the acquisitions of Virgin America and Hawaiian Airlines. Alaska maintains a market capitalization of approximately 5 billion dollars.

JetBlue Airways Corporation (NASDAQ: JBLU): JetBlue Airways was founded in 1998 and is headquartered in Long Island City, Queens. The airline holds 4.6 percent domestic market share and operates roughly 280 to 285 aircraft serving between 110 and 120 destinations across the United States, the Caribbean, Latin America, and an expanding transatlantic network. JetBlue's focus cities include New York JFK, Boston, Fort Lauderdale, Orlando, Los Angeles, and San Juan. The company differentiates itself through its customer-friendly Mint premium cabin product and the TrueBlue loyalty program. JetBlue also operates the Paisly travel services subsidiary and



continues to adjust its network amid competitive pressure and engine-related fleet constraints. The company has a market capitalization of approximately 1.7 billion dollars.

Even though Southwest holds the third-highest domestic market share at 16.7 percent, it still trails United Airlines, American Airlines, and Delta Air Lines in total revenue, EBITDA, and net income because its business model is fundamentally narrower in scope. Southwest operates an almost entirely domestic network using mostly only Boeing 737 narrowbody aircraft, which limits its ability to access high-yield international markets, premium long-haul routes, and widebody revenue opportunities. In contrast, United American and Delta generate a significant portion of their financial scale from global flying, including transatlantic and transpacific routes that support premium



cabins, corporate travel demand, cargo revenue, and materially higher margins. These airlines also benefit from global alliances that enhance loyalty monetization and attract business travelers, advantages that Southwest cannot match with its leisure-focused, short-haul domestic network. As a result, despite a strong domestic passenger share, Southwest's financial output remains structurally lower than the larger internationally diversified carriers.

The chart shows that while Southwest's RASM, or revenue per available seat mile, has steadily increased since 2020, it continues to trail Delta, American,

and United throughout the entire period. All four carriers experienced strong RASM growth in 2022 as travel demand rebounded, but the legacy airlines maintained a clear yield advantage due to their larger international networks and higher mix of premium cabin revenue. Delta consistently leads the group in RASM, followed by American and United, while Southwest remains structurally lower because its domestic narrowbody-focused business model limits access to long-haul and high-yield international markets. Although Southwest shows gradual improvement through 2024, the relative gap between it and the legacy carriers remains largely unchanged.

SWOT Analysis

Strengths:

1. Highly efficient low-cost operating model, supported by fast aircraft turn times, simplified fare structures, and a point-to-point network design that minimizes connection costs. Southwest consistently maintains one of the lowest unit cost structures among major U.S. airlines, with CASM excluding fuel often 15–20 percent lower than legacy competitors.
2. Single aircraft type strategy centered on the Boeing 737, operating a fleet of more than 800 Boeing 737 aircraft, including over 200 737 MAX jets. This uniform fleet reduces training time, simplifies maintenance, lowers parts inventory requirements, and increases scheduling flexibility.
3. Strong brand reputation and industry-leading customer satisfaction, driven by traveler-friendly policies such as no change fees, open seating, and transparent pricing. Southwest frequently ranks near the top in J.D. Power Customer Satisfaction, and its Rapid Rewards loyalty program is one of the most redeemed in the U.S. market.
4. Extensive domestic network reach and scale, serving 120+ cities across the United States, with dominant positions in Dallas Love Field, Chicago Midway, Denver, Phoenix, and Las Vegas, enabling strong connectivity in both leisure and business travel corridors.

5. Highly engaged employee culture and strong labor relations, with Southwest known for having some of the most satisfied airline employees in the country. Its long-standing “people-first” culture contributes to lower turnover, higher productivity, and more consistent service delivery, which strengthens operational reliability and customer loyalty.

Weaknesses:

1. Limited international presence compared to major U.S. competitors, with Southwest serving primarily domestic routes and only a small number of destinations in Mexico, the Caribbean, and Central America. While Delta, United, and American generate billions annually from long-haul international markets, Southwest lacks widebody aircraft and does not participate meaningfully in high-yield transatlantic or transpacific demand.

2. Single-fleet dependency on the Boeing 737, which increases operational risk. Any mechanical, regulatory, or supply chain issue with the 737 platform—including the prolonged grounding of the 737 MAX from 2019 to 2021—disproportionately impacts Southwest’s capacity and growth, as it has no alternative aircraft type to fall back on.

3. Lower revenue per available seat mile (RASM) relative to legacy carriers, driven by its domestic narrowbody business model and lack of premium cabins. Southwest does not offer lie-flat business class, premium economy, or other high-margin seating products, which limits its ability to monetize corporate travel and long-haul demand.

4. High concentration in leisure-heavy and price-sensitive markets, which exposes Southwest to greater volatility during economic downturns and periods of weakened discretionary spending. The airline has less diversification into corporate and international traffic, which typically stabilizes revenue during weak consumer cycles.

5. Operational complexity and reliability challenges, especially following the December 2022 system failure, when outdated crew-scheduling software and IT infrastructure led to more than 15,000 canceled flights in a single week. Although Southwest has invested in modernization, the event damaged its

operational reputation and highlighted structural limitations in its technology ecosystem.

Opportunities:

1. Expansion into additional near-international markets, including more destinations in Mexico, Central America, and the Caribbean. These short and mid-haul leisure routes fit Southwest's 737-only fleet and offer higher average fares and stronger seasonal demand than many domestic markets, creating an avenue for incremental revenue growth.
2. Fleet modernization through accelerated adoption of the Boeing 737 MAX, which provides lower fuel burn, longer range, and better operating economics. As more MAX aircraft enter the fleet, Southwest can open new mid-continent and transborder routes while lowering CASM and improving environmental performance.
3. Growing demand in secondary and midsize U.S. airports, where Southwest already has a strong presence. As congestion and costs rise at major hubs, expansion in cities such as Nashville, Austin, Raleigh, Kansas City, and Omaha presents an opportunity to capture additional market share without competing head-to-head with legacy carriers.
4. Increasing monetization of loyalty and ancillary revenue streams, particularly through the Rapid Rewards program, co-branded credit cards, priority services, upgraded boarding, and vacation packages. Southwest's loyalty program already has millions of active members, and deeper customization and partnerships could create new recurring revenue sources.
5. Technology upgrades and operational modernization, including improvements to crew scheduling, automation, and customer-facing tools. Enhanced digital infrastructure can reduce delays, improve reliability, and strengthen customer satisfaction, all of which help Southwest maintain its service-oriented brand advantage while supporting more efficient operations.

Threats:

1. Intensifying competition from U.S. legacy carriers such as Delta, United, and American, which continue to expand domestically while leveraging their global networks, premium cabins, and corporate travel relationships. Their ability to generate higher revenue per seat and cross-subsidize domestic operations makes it difficult for Southwest to maintain pricing power in key markets.
2. Rising fuel price volatility, which poses a significant financial risk because fuel remains one of the airline's largest expenses. Although Southwest has historically used hedging more aggressively than peers, sharp increases in jet fuel prices can quickly erode margins, especially in a domestic-focused network with limited premium revenue.
3. Labor cost inflation and union pressures, as more than 80 percent of Southwest's workforce is unionized. Contract negotiations in pilots, flight attendants, and ground operations continue to drive higher wage expenses, and any labor disruptions could lead to operational instability or capacity reductions.
4. Infrastructure and technology vulnerabilities, highlighted by the December 2022 operational meltdown that resulted in more than 15,000 canceled flights. Although Southwest is upgrading its systems, any future technology failures or irregular operations events could damage its brand and lead to regulatory scrutiny or customer attrition.
5. Macroeconomic downturns and shifts in leisure travel demand, which disproportionately affect Southwest's business model. With a higher concentration of leisure-oriented passengers and limited exposure to international and corporate travel markets—which tend to be more resilient—Southwest faces more revenue risk during recessions or periods of reduced consumer spending.

Porters 5 Forces

Threat of New Entrants – Low

The threat of new entrants in the U.S. airline industry remains quite low, primarily because of the substantial entry and exit barriers that exist within the sector. These barriers discourage new competitors from entering due to the high costs of expansion and the significant risks involved. Beyond requiring extensive capital investment, new entrants must also navigate numerous regulatory hurdles. To effectively compete with the major carriers like Southwest, Delta, American, and United who make up roughly 70% of domestic market share, an airline would need to establish and acquire new domestic and international routes, spend millions of dollars on aircraft and equipment, and hire additional staff. As a result, only an already established international carrier would realistically be able to challenge these dominant airlines. Strong customer brand loyalty toward familiar or established airlines further reduces the likelihood of new entrants gaining traction. Each major airline invests heavily in brand awareness and customer retention, making it unlikely that new players could enter the market and compete successfully. When a new entrant does attempt to cut costs on a route, existing carriers often respond quickly. For example, if Sun Country Airlines threatened one of Southwest's routes, Southwest would likely reduce costs before the new competitor even began operating that route.

Entry and Exit Barriers:

The airline industry requires enormous capital investment to enter, and even when airlines attempt to exit the sector, they often must write down and absorb significant losses. As a result, entry and exit barriers are extremely high in this industry. Entering the airline sector demands not only heavy upfront capital but also sophisticated operational knowledge and expertise, which limits who can participate. Exit barriers are also reinforced by regulation, as U.S. regulators do not allow airlines to leave the industry unless there is a clear and justified business reason. Additionally, airlines benefit from efficiencies and synergies created through economies of scale, further



increasing entry barriers. Therefore, when applying Porter's Five Forces framework, it is evident that the airline industry presents substantial entry and exit barriers, meaning the impact of this force is notably high.

Bargaining Power of Supplier - High

The bargaining power of suppliers in the airline industry is relatively high, and for Southwest Airlines, this dynamic is even more pronounced due to its unique operating model. The aircraft manufacturing market is dominated almost entirely by Boeing and Airbus, but Southwest relies exclusively on one of them (Boeing) for its entire fleet of 737 aircraft. This dependence gives Boeing considerable leverage over pricing, production schedules, delivery timelines, and customization options. Because Southwest operates more than 800 aircraft, nearly all of which are Boeing 737 models, any delays, safety directives, or production disruptions directly affect Southwest's capacity planning and long-term growth strategy. With such limited alternatives, Southwest has far less negotiating power compared to airlines that diversify their fleets across multiple manufacturers.

Fuel suppliers also play a major role in shaping the cost structure of the airline industry. Aviation fuel is a significant portion of Southwest's operating expenses, and because fuel is a commodity tied to global oil markets, Southwest remains highly vulnerable to price fluctuations. While fuel suppliers themselves are numerous, the lack of substitutes and the airline's inability to avoid purchasing jet fuel regardless of price swings increase the effective bargaining power suppliers hold. The airline's hedging strategy can help mitigate extreme spikes, but it does not fully eliminate the risk.

Consequently, fuel markets exert substantial influence over Southwest's financial performance. Beyond aircraft manufacturers and fuel providers, Southwest is also dependent on a wide range of specialized service suppliers that include maintenance, repair and overhaul providers, airport handling services, IT systems vendors, airports, and air-traffic control infrastructure. Many of these services are location-specific and have few direct alternatives, meaning Southwest must work within the pricing structures and operational limitations set by each provider. Additionally, government-mandated safety

and infrastructure requirements constrain Southwest's ability to bring these functions in-house or negotiate more favorable terms, further elevating supplier power.

Taken together, these factors indicate that Southwest operates in an environment where suppliers hold considerable influence. The combination of a single aircraft manufacturer, exposure to volatile fuel markets, and reliance on critical third-party providers creates a supplier ecosystem with meaningful leverage over Southwest's operations and cost structure. As a result, the bargaining power of suppliers for Southwest Airlines is best characterized as high.

Bargaining Power of Customers – Moderate to High

The bargaining power of customers in the airline industry is moderate to high, largely due to the increasing transparency and convenience brought about by Internet based ticketing platforms. Before online distribution, passengers relied heavily on travel agents and intermediaries, which limited their ability to compare prices or understand differences in service quality. Today, however, travelers can instantly compare fares, flight times, airline ratings, and ancillary fees across multiple airlines using online travel agencies and global price comparison tools such as Expedia, Skyscanner, Google Flights, and Kayak.



This rapid access to information significantly shifts the balance of power toward the consumer by enabling “price discovery,” making it easier for fliers to find lower fares and avoid paying a premium unnecessarily.

In addition, the growth of low cost carriers has intensified price competition and reduced switching costs for customers. Passengers can easily choose between legacy airlines and low cost competitors depending on which offers the best price or schedule on a given day. Because switching costs are essentially zero, customers can book with any airline at any time without penalty and brand loyalty tends to be weaker across the industry. While airlines try to counter this trend with loyalty programs and credit card partnerships, these incentives often appeal only to frequent travelers, leaving the broader group of leisure travelers open to switching whenever it saves them money.

Regulatory protections also strengthen the bargaining power of airline customers. Consumer centered regulations such as required fee disclosures, refund obligations, and rules governing delays or cancellations ensure that passengers are treated fairly and help prevent airlines from exploiting their dependence on air travel. Furthermore, the rise of customer review platforms, social media, and publicly available airline performance metrics gives travelers greater visibility into service quality, which influences airline behavior and pricing strategies.

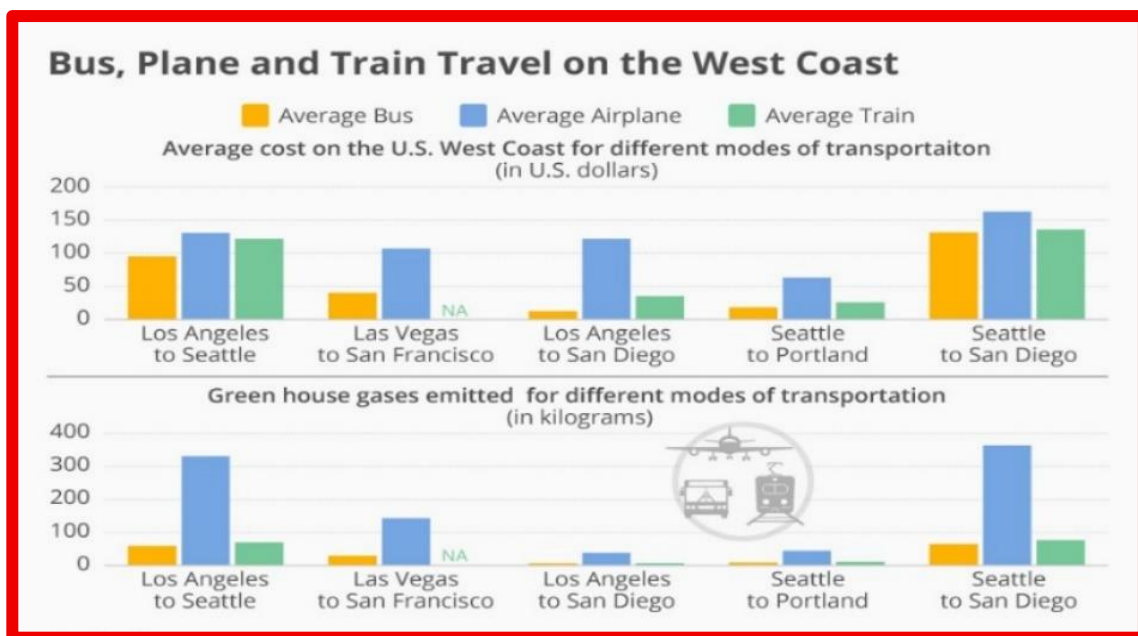
Taken together, these factors, including transparent online pricing, low switching costs, increased consumer protections, and intense competition from both low cost and full service carriers, make the bargaining power of customers in the airline industry high. Passengers now have a wide range of tools and alternatives that allow them to find the best value, putting pressure on airlines to maintain competitive pricing and improve service quality to keep their customer base.

Threat of Substitutes – Low to Moderate

The overall threat of substitutes in the United States airline industry is generally low to moderate, and this applies to Southwest Airlines as well. In the U.S., long travel distances and the limited development of high speed rail systems mean that flying remains the most practical and time efficient mode of transportation for the majority of medium and long haul trips. While alternative forms of travel such as trains and intercity buses exist, their impact

on air travel demand is far smaller than in regions like Western Europe, where high speed rail directly competes with airlines on short haul routes.

For Southwest specifically, the most relevant substitutes are private car travel, intercity buses, and, in certain business markets, video conferencing. Southwest operates a large number of short-haul, domestic point to point routes, especially in regions like Texas, the Southwest, and the Central United States. On these routes, some travelers may choose to drive rather than fly when the distance is manageable or when they want to avoid airport lines, parking costs, or delays. Similarly, bus services can provide lower cost alternatives on certain city pairs, although they require much longer travel times.



However, several factors keep the threat of substitutes from becoming significant. Southwest's low cost structure often allows it to price fares competitively with driving when travelers consider total costs such as fuel, tolls, lodging, and the value of time. Air travel also provides substantial time savings relative to driving or taking a bus, especially on routes longer than a few hundred miles. For most customers traveling within Southwest's network, flying is viewed as the natural and most efficient option, and substitutes become appealing only when price differences are large or when travel distances are short.

Overall, while substitutes such as cars, buses, and digital communication tools exert some pressure, especially on short-haul routes, the threat they pose to Southwest Airlines remains moderate. The airline's low fares, extensive domestic network, and significant time savings relative to other modes of transportation prevent substitutes from becoming a strong competitive force.

Competitive Rivalry – High

Competitive rivalry in the United States airline industry is very high, and Southwest is at the center of that intensity. Southwest competes directly with the large legacy carriers (Delta, American, United) on many domestic routes, while also facing pressure from other low cost and ultra low cost airlines such as JetBlue, Spirit, Frontier and Allegiant. With 6 main airlines that run the airline industry in the United States there is a very high level of competition for each to maintain its status and growth as a company. Furthermore, because many of these airlines have comparable route networks on key city pairs and offer similar levels of basic service, customers can easily switch from one carrier to another based almost entirely on price and schedule. This pushes Southwest to match or beat competitor fares, run frequent promotions, and constantly optimize its network in order to keep aircraft full.

Rivalry is further intensified by the structure of the industry. Fixed costs are extremely high due to aircraft ownership, maintenance, labor, and airport fees, so airlines are strongly motivated to keep capacity high and seats filled, even if that means aggressive discounting. Growth in the mature United States market is relatively slow, which means airlines often gain share only by taking passengers from one another rather than by expanding the total demand pool. In this environment, Southwest must defend its strong positions at airports such as Dallas Love Field, Denver, Phoenix, Chicago Midway, and Las Vegas against both legacy carriers adding capacity and low fare rivals entering with very cheap tickets.

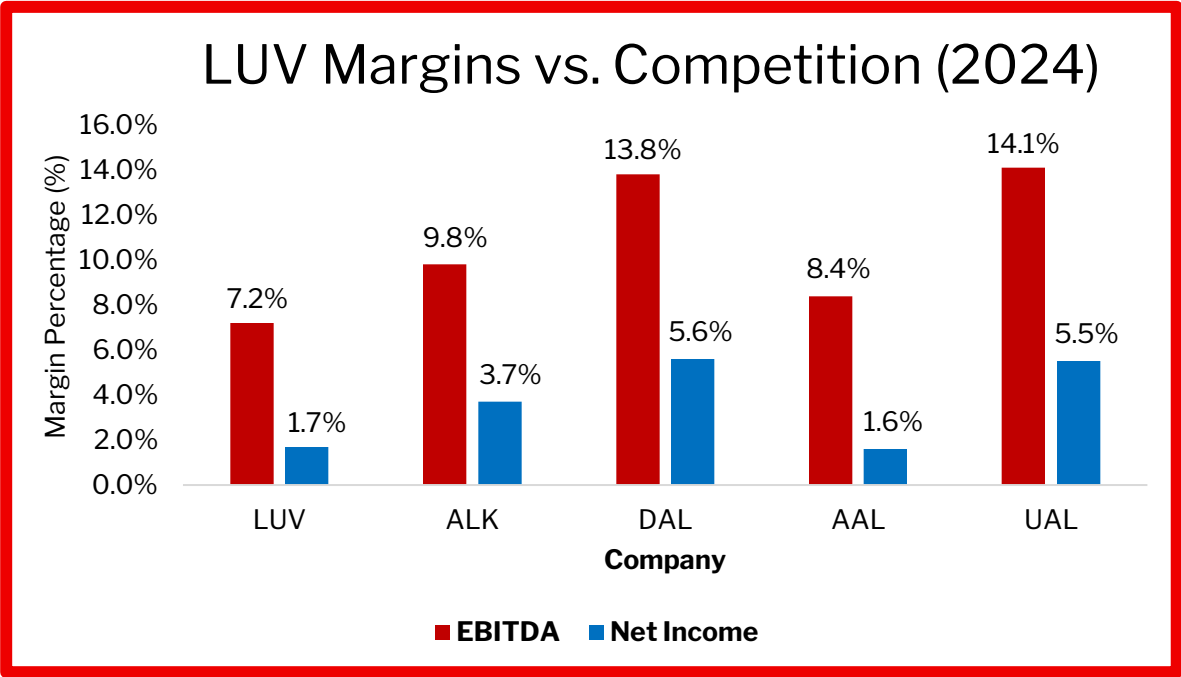
Regulation and customer behavior also reinforce competitive rivalry. Safety and operating standards are tightly regulated, so airlines have limited room to differentiate purely on product, which makes price competition more

prominent. At the same time, online booking platforms allow customers to see the fares of all airlines instantly, and there are essentially no switching costs from one carrier to another. Loyalty programs and brand reputation help Southwest retain frequent travelers, but for many leisure passengers the lowest fare wins. Taken together, these factors mean that rivalry among existing competitors is high, and Southwest operates in one of the most competitive sectors of the United States economy.

Margins vs Competition / Pricing Power

The 2024 margin numbers show quite a clear gap in how the major airlines are performing. EBITDA margins, which reflect how efficiently each airline turns revenue into cash profit, put United and Delta at the top with 14.1 percent and 13.8 percent, respectively. Alaska and American sit in the middle at 9.8 percent and 8.4 percent, respectively. Southwest is at the bottom with 7.2 percent, which suggests that its operating costs are taking up a larger share of revenue than its competitors, even though its point-to-point model is supposed to keep things simple and efficient.

The net income margins back this up as well. Delta leads with 5.6 percent, followed very closely by United at 5.5 percent. Alaska comes next at 3.7 percent. Southwest and American end up with the lowest margins at 1.7 percent and 1.6 percent.



percent and 1.6 percent. In earlier years, Southwest was helped by lower non-operating costs, but rising labor expenses and a limited international footprint make it tougher to keep up with the larger network carriers. Overall, the numbers show that Southwest no longer has the cost advantage it once relied on, while its competitors are turning revenue into profit far more effectively.

Pricing Power:

In 2024, airlines are dealing with a very different pricing environment than they had a year or two ago. Demand has finally cooled off from the post-pandemic spike, and with fewer capacity constraints, airlines simply cannot push fares the way they used to. To relate this to the previous section, you can see this shift clearly in the margin numbers, which serve as a good representation of the fact that Southwest overall pricing has been reduced. Delta and United still have the most pricing power, reflected in their strong EBITDA and net income margins. Alaska and American fall in the middle, while Southwest is at the bottom of the group, showing the much tighter room it has to raise prices.

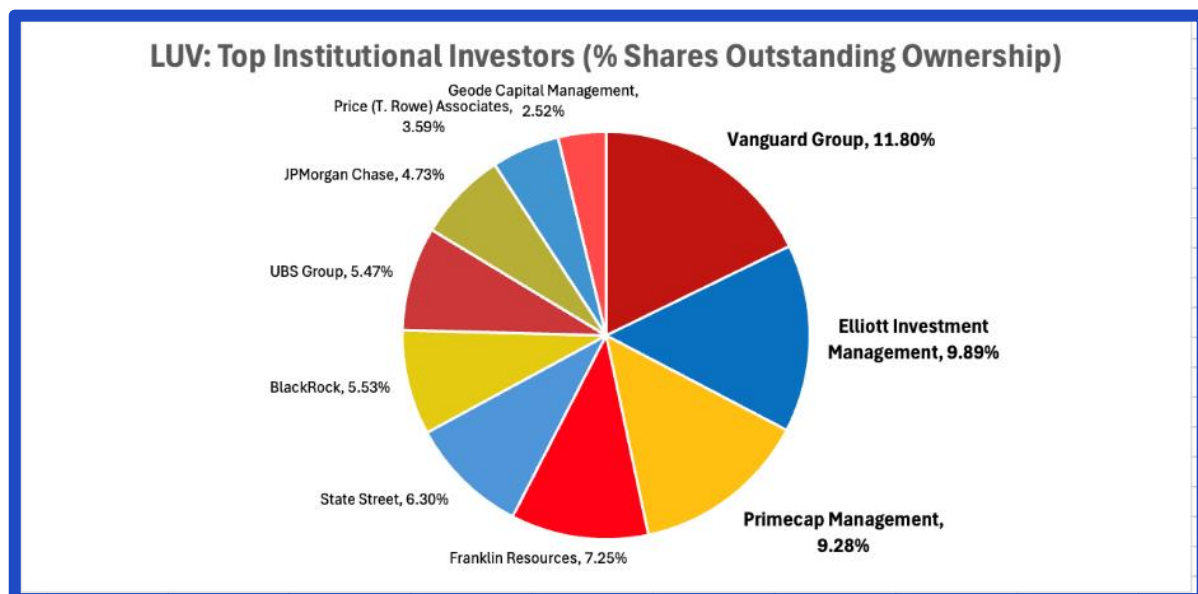
The main reason behind this recent decline continues to be rising labor costs. Pay increases across the company are reducing profitability faster than revenue can grow, making it harder for Southwest to maintain pricing strength. Instead of relying on strong fare levels, it has had to lean more heavily on discounts and promotions to keep planes full. At the same time, the larger network carriers have premium cabins and international routes that bring in more high-yield revenue, which allows them to operate with greater financial stability. Taken together, these factors make it clear that in 2024, Southwest pricing power has declined further relative to competitors, and its rising cost pressures are limiting its ability to strengthen its position in the market.

CONCLUSION & RECOMMENDATION



Major Shareholders / Management Ownership

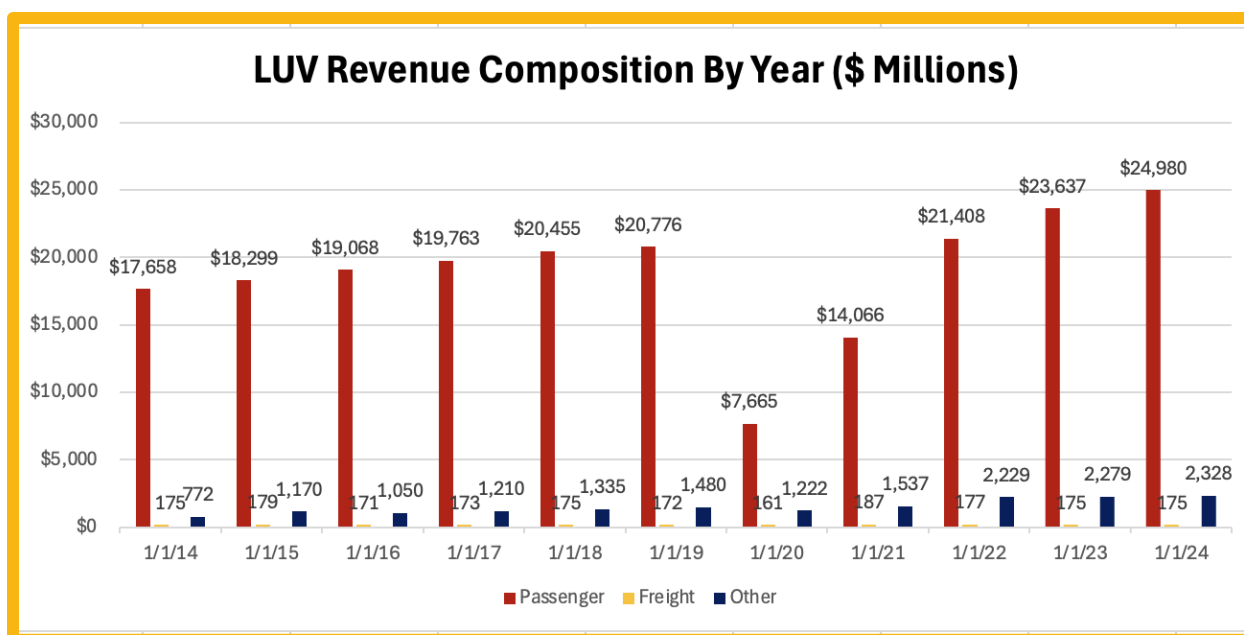
The majority of outstanding shares for Southwest Airlines are held by institutional investors, as of September 30, 2025. This ownership is strongly concentrated among large asset managers, as the Vanguard Group holds 11.8% of total shares outstanding valued at approximately \$2.12 billion. Elliot Investment Management follows with a 9.9% stake, as the main activist investor in the firm. Primecap Management Company holds 9.3% stake, and other significant holders include Franklin Resources at 7.3%, State Street Corporation at 6.3%, BlackRock at 5.5%, UBS at 5.5%, and JP Morgan Chase at 4.7%. The remaining major investors include T. Rowe Price and Geode Capital Management, who each hold between 2% and 4%. Insiders own about 1.2% of total shares, with the largest insider shareholder being Rakesh Gangwal with 3.6 million shares. Other directors within the firm own between 9,000 and 80,000 shares each, with the next largest being Douglas H. Brooks with 81,306 shares and Pierre R. Breber with 53,429 shares. Overall, major institutional investors play a dominant role in governance for Southwest Airlines.



In the trailing 12 months, trading activity between institutional equity holders has been highly active for Southwest. There have been 468 institutional buyers and 342 institutional sellers. Despite the greater number of buyers, total institutional outflows still outweighed inflows with \$8.11 billion sold vs. \$2.07 billion purchases. This reflects an overall selling pressure among institutional equity holders, largely due to a period of portfolio rebalancing. Major shareholders such as Vanguard, Elliot Investment Management, and State Street reduced their holdings modestly throughout 2025. The largest shareholder, Vanguard Group, sold 7.7% of its stake, and Elliot Investment Management and State Street reduced positions by 5.3% and 5.5% respectively. Franklin Resources increased its holdings by 6.1%, while UBS Group AG made a large move when expanding its holdings by 174%. In conclusion, institutional activity reflected a net outflow with more shares sold than purchased during the period as large investors implement portfolio adjustments within the industry. However, some firms such as UBS Group AG and Franklin Resources suggest confidence in certain investor groups in Southwest's post-pandemic recovery.



Revenue Composition and Margins Analysis



In the past 10 years, Southwest Airlines has remained dependent on passenger operations for revenue. However, the underlying structure of their revenue composition reveals important shifts in the airline's underlying business model. For example, passenger revenue increased from \$17.7 billion in 2014 to \$25 billion in 2024, which depicts an overall growth of 41%. This major increase is a result of Southwest's expansion in capacity, network optimization, and the broader trend of travel recovery following the pandemic. This rebound from a low of \$7.7 billion in revenue in 2020 is a result of the strong brand loyalty that categorizes Southwest. Additionally, the airline's focus on short-haul, high-frequency domestic routes allowed it to recover faster than international or long-haul oriented airlines.

Despite this, freight revenue remained flat throughout the observed period at around \$170 million per annum. This is a result of Southwest's limited involvement in the air cargo market in comparison to other major airlines. The "Other" revenue category experienced growth from \$772 million in 2014 to \$2.3 billion in 2024. This represents a near triple in non-ticket revenue, mainly through the Rapid Rewards loyalty program, credit card partnerships, and in-flight ancillary offerings. This category continues to rise as it becomes a greater contributor to total income, with an increasing industry-wide focus on

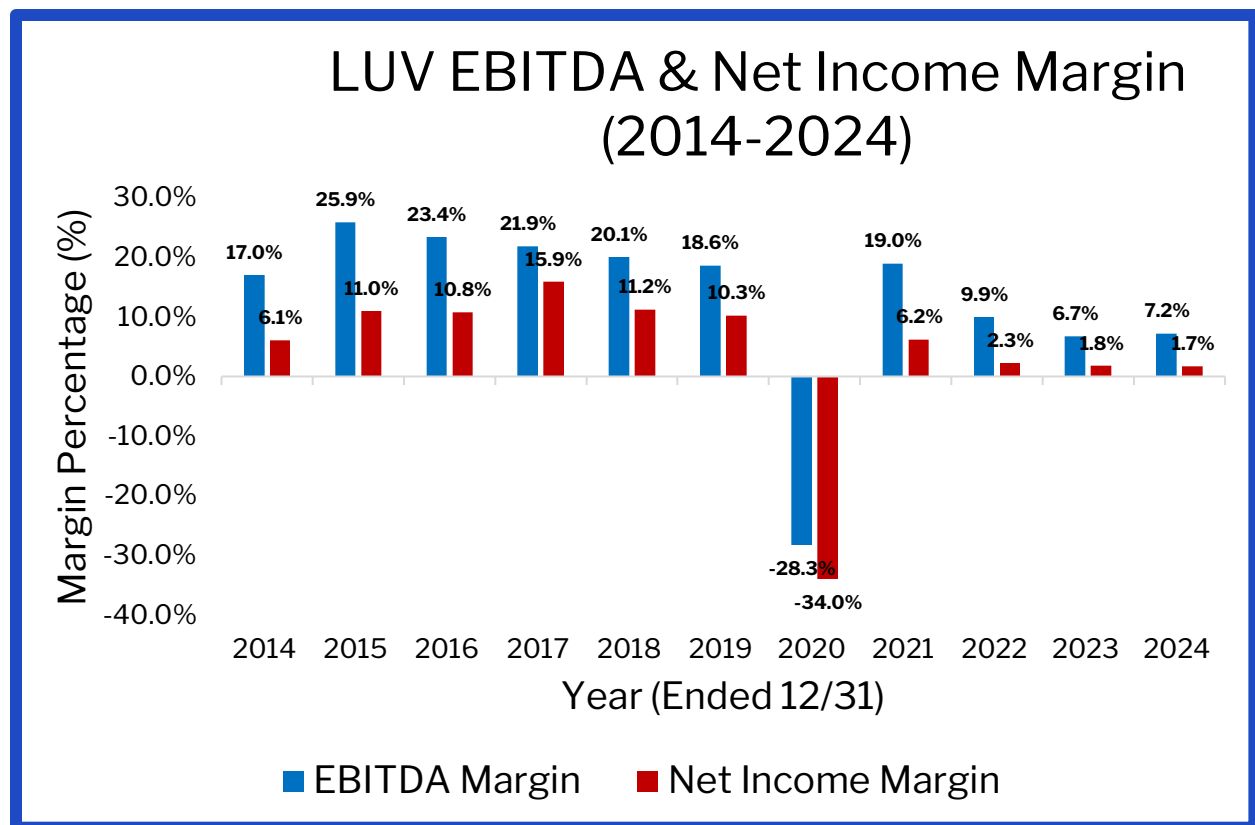
monetizing customer experience. This comes as airlines face volatility in the fuel cost market and more competitive fare markets.

The year-over-year revenue breakdown depicts a clear turning point in 2020, as passenger revenue fell by about 63%. However, 2021 demonstrates a quick rebound to over \$14 billion and soon \$23.6 billion in 2023. This highlights the strength of the U.S domestic travel market, which is a major focus for Southwest's operations. By 2024, total revenue composition depicts that the airline not only recovered from pandemic losses but become more resilient. The growth in "Other" revenue and increasingly greater passenger yield demonstrates an effective transition from a low-cost framework to a more balanced revenue model.

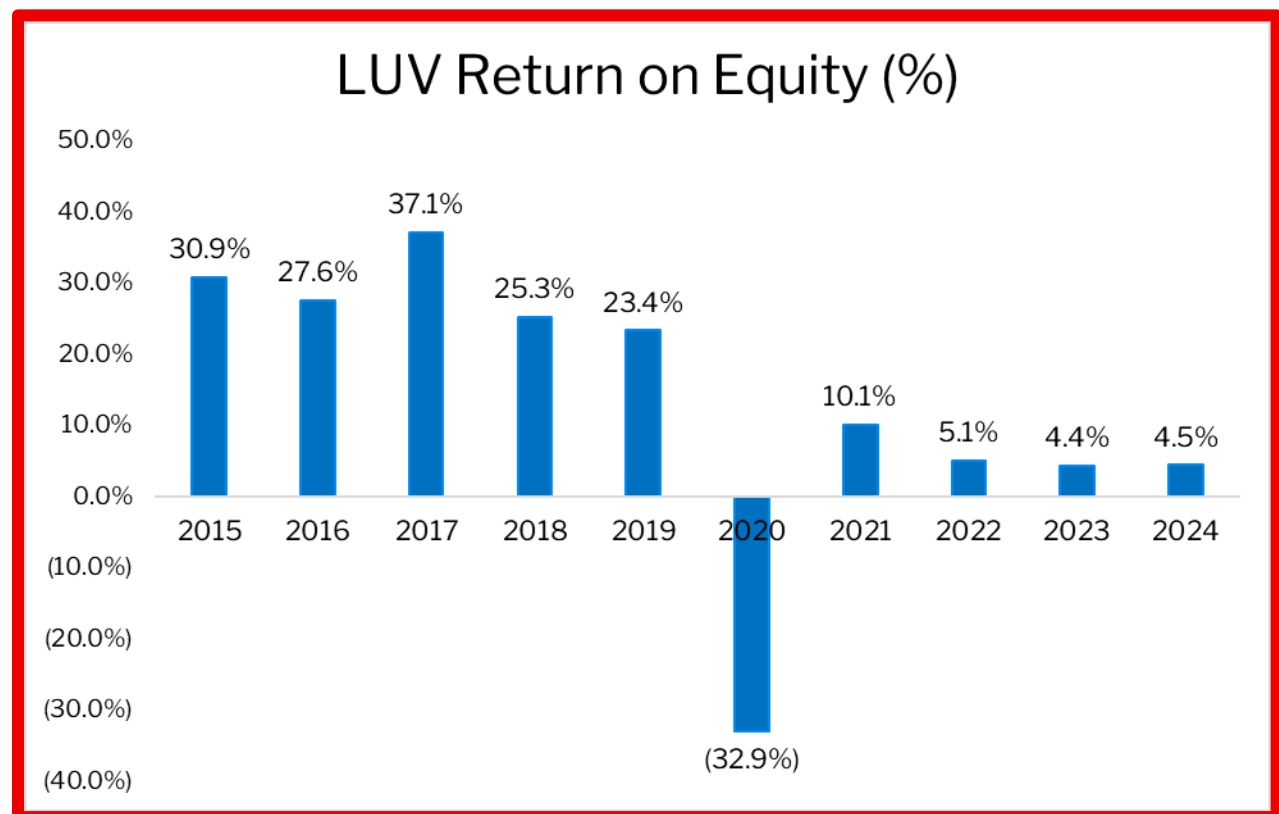
Margin trends from the period 2014-2024 further demonstrate resilience and cyclical recovery for Southwest. In 2015, EBITDA margins were at their greatest at 25.9%, and remained consistent through 2018 with an average around 20-22%. This was a result of the period consisting of low fuel prices and favorable economic conditions. Net income margins followed this trend, as they reached double digits in several of these years. This includes 11.2% in 2018, reflecting Southwest's operational efficiency, cost management discipline, and strong demand during the time period. These factors allowed the airline to obtain one of the healthier balance sheets among major U.S carriers.

Margin collapsed as a result of the COVID-19 pandemic in 2020, as EBITDA fell to -28.3% and net income to -34.0%. This reflects the broader halt in air travel demand throughout the industry. However, the recovery of the airline stands out as EBITDA margins rebounded to 19% by 2021, although net income remained lower at 6.2%. Still, this improvement demonstrated the effectiveness of Southwest in cost control and flexibility, especially in comparison to other major U.S carriers. The years following this depict a slow climb toward stable margins, although they are still quite low compared to pre-pandemic levels. In 2024 EBITDA was 7.2% and net income 1.7%, mainly a result of inflationary pressure, high labor expense, and rising maintenance costs within the Boeing 737 MAX fleet. These factors have dramatically

increased unit costs (CASM) for Southwest Airlines. However, Southwest has been able to partially offset this pressure with increasing ancillary revenue and decreasing capacity in underperforming routes. This cost discipline strategy combined with steady improvement to operational reliability has allowed margins to remain positive in the high-cost environment. Looking to the near-future, margins are expected to expand at modest levels as demand remains solid within leisure travel. Increases in productivity, fleet modernization, and schedule optimization further supplement an increase in margins. Overall, the company has weathered one of the most volatile decades in recent aviation history and positioned itself for a more stable future, but a major recovery is still yet to be seen.

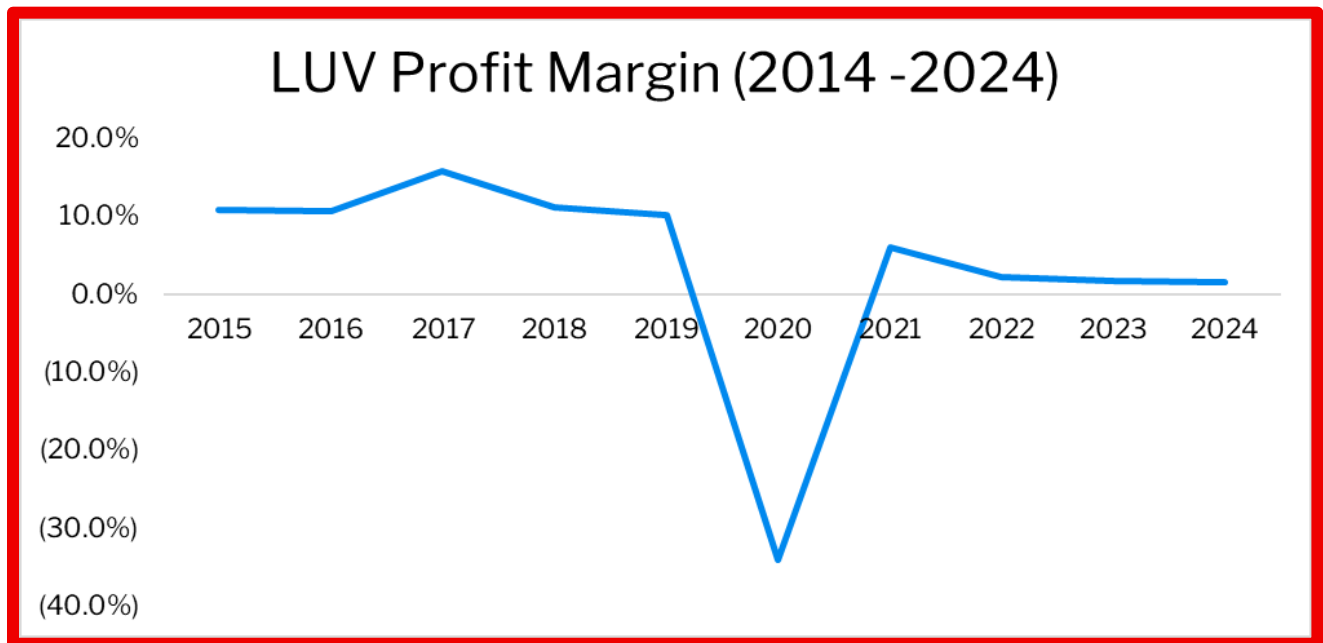


DuPont ROE Analysis



Return on Equity (ROE) is one of the most important measures of profitability as it indicates how well a company turns shareholder equity into profit. By using the DuPont Analysis, Southwest's ROE can be computed by multiplying three key metrics together: Net Profit Margin (Net Income / Revenue), Return on Assets (Revenue / Average Total Assets), and Financial Leverage (Average Total Assets / Average Total Equity). By analyzing these three metrics, it becomes easier to reconcile the firm's past performance and predict its future performance as well as visualize the drivers of its ROE. As pictured above, Southwest's ROE was high pre-pandemic, plunged when the pandemic hit, and then has never really recovered since.

Net Profit Margin

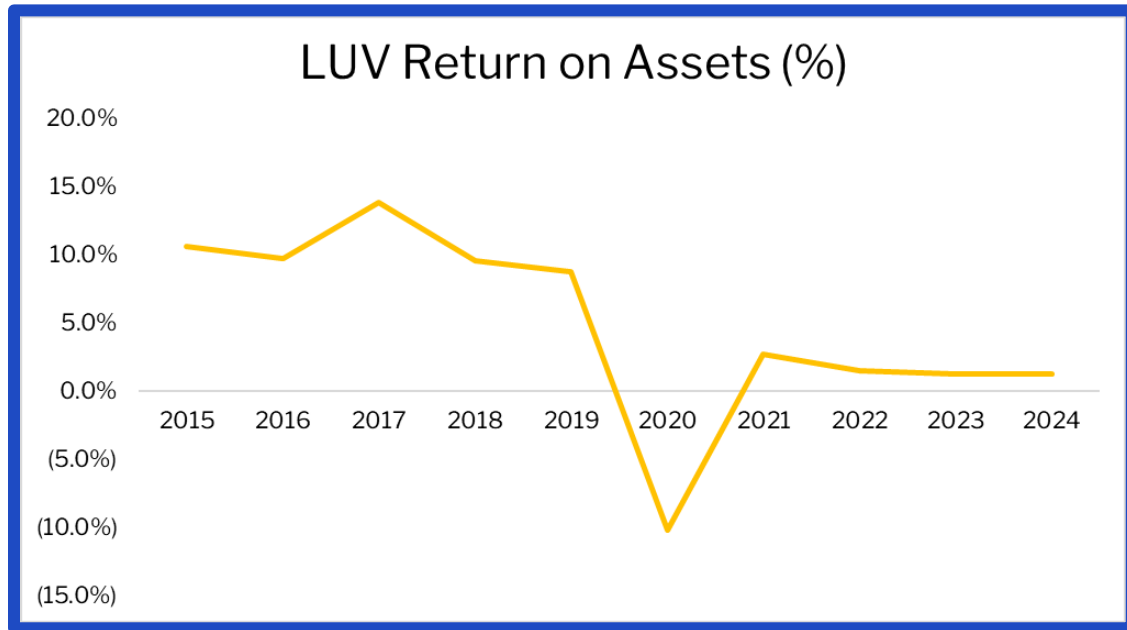


Pre-pandemic, Southwest's profit margin consistently hovered around a healthy 10%. After it plunged in 2020, it sharply rebounded in 2021 and has declined to an asymptote of about 1.5% in 2024. For context, this is low as the International Air Transport Association estimates that the average profit margin for North American airlines in 2024 is roughly 4%. The airline's declining profit margin can be attributed to lower demand for leisure domestic travel from middle-income consumers, surging fuel expenses, rising labor costs, and a reduced fleet size due to Boeing delivery delays. Looking to the future, Southwest's bottom line is expected to grow as the air travel industry gradually surpasses pre-pandemic levels and as the company's operations are optimized. However, this growth will prove to be slow as headway from increasing overall travel demand is offset by lower activity from Southwest's core middle-income consumers.

Return on Assets

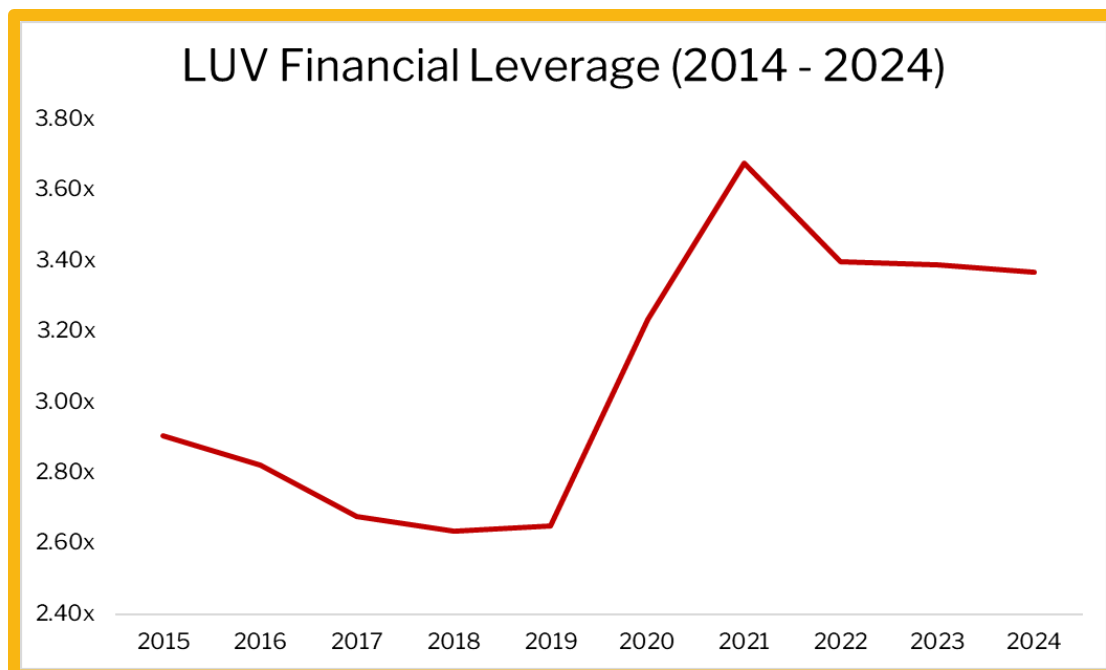
Southwest's ROA follows an identical pattern to its profit margin. It was strong from 2015-2019, sitting at 8-13%, due to stable demand and cheap fuel. Then, it fell to about -10% in 2020 because its top line plummeted while the airline's average total assets remained the same as before. Ever since, ROA hasn't recovered to pre-pandemic levels due to its asset base climbing faster than its profitability. Because operational costs and wages have risen while revenue and RASM growth has weaned, it's unlikely that ROA will bounce back to what

it was a decade ago. However, as Southwest implements its cost-reduction initiatives and asset efficiency is further optimized, ROA is anticipated to rise marginally into the 2-4% range.



Financial Leverage

Southwest's financial leverage followed a gradual downward trend from 2014 to 2019 as it experienced strong operating cash flows and relatively low long-term debt. As soon as the pandemic hit, leverage spiked all the way up to 3.7x in 2021 because the airline had to issue a massive amount of debt to reconcile for a devastating drop in revenue. In the past five years, leverage has normalized to just under 3.4x. However, much like its ROA, Southwest's

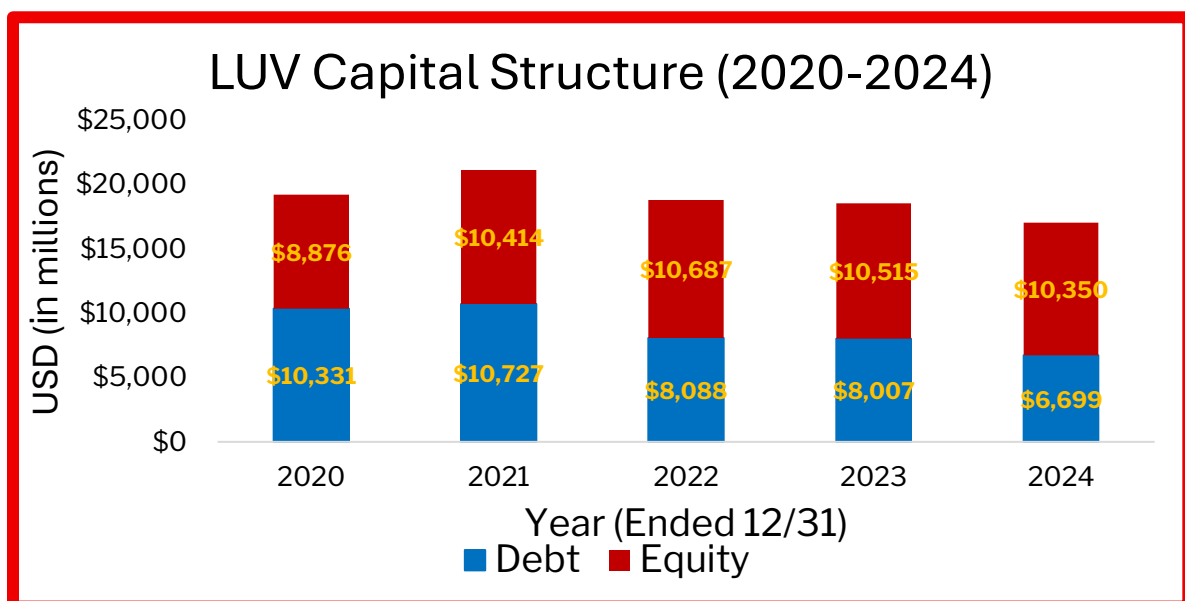


financial leverage is unlikely to return to pre-pandemic levels as its profitability and cash flows remain stunted due to elevated costs.

Overall, the DuPont framework shows that the three factors of ROE have all failed to return to their pre-COVID peaks. With the outlook for profitability, efficiency, and leverage remaining relatively stagnant, Southwest's ROE is projected to improve modestly but will remain close to its present range.

Leverage / Capital Structure

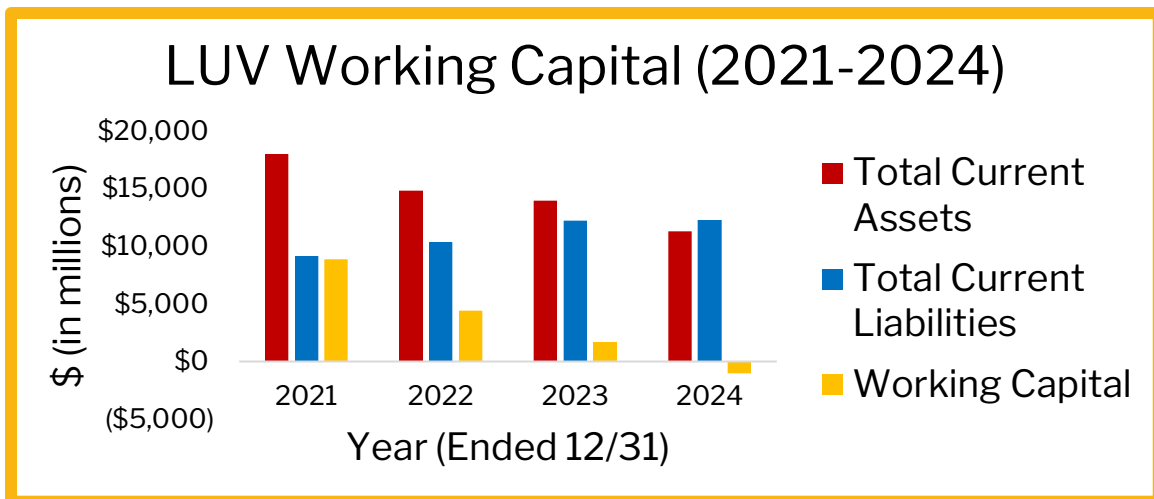
When analyzing Southwest's leverage, it's important to evaluate its Debt-to-Total-Capital ratio. Pre-pandemic, this ratio sat in the 20-30% range and was steadily declining year after year as the airline was generating strong enough cash flows to decrease its reliance on debt financing. However, in 2020, Debt-to-Total-Capital spiked to 53.8% because the company needed adequate liquidity to continue to cover its high fixed costs in a period where travel demand fell nearly 90%. Since then, Southwest has been slowly deleveraging by abandoning pandemic-era credit lines and using its positive operating cash flows to pay down almost \$4 billion worth of debt. As of 3Q25, its Debt-to-Total-Capital ratio is 35%, marking another 9 months of improved debt management. Despite this debt reduction, Southwest is still a long way from reaching its pre-COVID leverage profile. Its Debt-to-EBITDA ratio is still more than triple what it was in 2019 at 3.39x (FY2024) and its Free-Cash-Flow-to-Interest ratio is still negative at -0.31x (FY2024). Unless Southwest's



profitability and ability to generate cash flows drastically increases, the airline will remain significantly more levered than it was a decade ago. With elevated interest expenses due to a higher debt stockpile and heavy capital needs, it seems unlikely that Southwest will be able to unlock the cash necessary to pay down enough debt to trigger a major deleverage.

Working Capital

Before looking at LUV's working capital, it is important to note that Working Capital = Total Current Assets – Total Current Liabilities. LUV's current assets are Cash and cash equivalents, Short-Term Investments, Accounts and other receivables, Inventories of parts and supplies, at cost, and Prepaid expenses and other current assets. LUV's current liabilities are Accounts payable, Accrued liabilities, Current operating lease liabilities, Air traffic liability, and Current maturities of long-term debt.



In 2021, total current assets were \$18,036 million and total current liabilities were \$9,164, leading to a working capital value of \$8,872 million. In 2022, total current assets were \$14,808 million and total current liabilities were \$10,378, leading to a working capital value of \$4,430 million. In 2023, total current assets were \$13,955 million and total current liabilities were \$12,256, leading to a working capital value of \$1,699 million. In 2024, total current assets were

\$11,274 million and total current liabilities were \$12,276, leading to a working capital value of (\$1,002) million.

Over the past several years, LUV's working capital has been declining. From 2021 to 2024, you can see current assets decreasing and current liabilities increasing, leading to a steady overall decrease in working capital. In fact, using data from the most recent 10K, it was found that they had negative working capital. The major drivers of this can be found by analyzing LUV's Balance Sheets. The two biggest drivers for the decrease in current assets are Cash and cash equivalents and Short-Term Investments. From 2021 to 2024, Cash and cash equivalents decreased from \$12,480 million to \$7,509 million, and Short-Term Investments decreased from \$3,024 million to \$1,216 million. The two biggest drivers for the increase in current liabilities are Air traffic liability and Current maturities of long-term debt. From 2021 to 2024 Air traffic liability increased from \$5,566 million to \$6,294 million, and Current maturities of long-term debt increased from \$453 million to \$1630 million.

On top of all this information, the most recent balance sheet on LUV's third quarter earnings report shows an even further decline in working capital. Total current assets sits at around \$5,395 and total current liabilities sit at around \$10,994 million, resulting in a working capital of (\$5,599) million.

Overall, Southwest's drop in working capital shows that they have less short-term liquidity and more short-term obligations than in past years. This is not ideal, but it also isn't a major red flag on its own because the company has been using cash to fund fleet upgrades, technology improvements, and other long-term investments. While negative working capital means they have less cushion in the short run, Southwest still has solid access to funding and is spending in ways they expect to strengthen the business over time.

Relative Valuation

Trading Comparables (see Appendix F):

One of the ways we are valuing the company is by comparing it to other public companies in the industry. After analyzing geography, industry, and financials, we decided on three comparable companies. They are American Airlines (NASDAQ: AAL), Delta Airlines (NYSE: DAL), and United Airlines (NASDAQ: UAL). After picking these companies, decided on what ratios we would compare: Price to Sales (P/S), Total Enterprise Value to EBITDA, Price to

Earnings (P/E), and Price to Free Cash Flow (P/FCF). To find the most accurate representation of these ratios, we pulled data their most recent 10K and 10Q to determine their Equity Value, Enterprise Value, and “Last Twelve Months” calculations for the metrics. We arrived at the table below.

	Southwest Airlines (LUV)	American Airlines (AAL)	Delta Airlines (DAL)	United Airlines (UAL)	Averages
P/S	0.7x	0.2x	0.7x	0.6x	0.5x
TEV/EBITDA	10.3x	9.1x	6.5x	7.0x	8.2x
P/E	48.7x	16.0x	9.5x	10.7x	21.2x
P/FCF	(50.9x)	8.1x	9.1x	17.3x	(4.1x)

Looking at these multiples, Southwest appears slightly overvalued compared to its peers, mainly because its P/E ratio is much higher than the other airlines. Its TEV/EBITDA is also the highest, which shows the market is valuing Southwest more than the rest of the group. The negative P/FCF is due to Southwest’s negative free cash flow, which ties back to the working capital section since the company has been using a lot of cash for fleet upgrades and other investments that lower short term cash generation.

Transaction Comparables (see Appendix G):

One of the ways we are valuing the company is by looking at precedent M&A transactions in the airline industry. After analyzing deal size, structure, financial metrics, and the timing of each transaction, we selected three comparable deals. These include Alaska Air Group’s (NYSE: ALK) buyout of Hawaiian Holdings (NASDAQ: HA) announced on December 3, 2023, JetBlue’s (NASDAQ: JBLU) failed buyout of Spirit Airlines (NYSE: SAVE) based on the October 19, 2022 offer price, and Alaska Air Group’s (NYSE: ALK) acquisition of Virgin America (NASDAQ: VA) announced on April 4, 2016. These transactions give us a useful benchmark for understanding how the market has valued similar companies in past deals, and we arrived at the table below.

	Southwest Airlines (LUV)	ALK & HA	JBLU & SAVE	ALK & VA	Averages
P/S	0.7x	0.4x	0.7x	1.7x	0.8x
TEV/EBITDA	10.3x	(19.8x)	(35.6x)	12.3x	(8.2x)
P/E	48.7x	(2.2x)	(8.5x)	(45.1x)	(1.7x)
P/FCF	(50.9x)	(3.8x)	(8.2x)	7.5x	(13.8x)

Although Southwest's results are different from the valuation levels seen in past transactions, a few clear patterns stand out. Its P/S and TEV EBITDA multiples are higher than those in the precedent deals, which shows that the market is valuing Southwest more strongly than what acquirers historically paid for airlines like Hawaiian, Spirit, or Virgin America. The P/E multiples in the transactions are all very low or negative because the acquired airlines were facing weak or negative earnings at the time, and this makes Southwest's much higher P/E stand out even more. Overall, these comparisons suggest that Southwest is trading at a premium to where similar airlines have been valued in major M&A deals.

Absolute Valuation

The absolute/intrinsic valuation of this company was done using a discounted free cash flow analysis. The first step in the process was to project out LUV's future unlevered free cash flows, UFCF (see Appendix H). To do this, we had to estimate forecast drivers of revenue growth, EBITDA margin, CapEx, D&A, effective tax rate, and changes in working capital (see Appendix I). All assumptions were made conservatively using a mixture of historical data, analysis of the most recent quarterly report, and general information about the company.

The next step in the process was to determine LUV's discount rate, or WACC, to discount these UFCF to their present value (see Appendix J). With a risk-free rate of 3.60%, an adjusted beta of 1.18, and an equity market risk premium of 3.79% (as of 12/1/25), their cost of equity equals 8.00%. With a pre-tax cost of debt of 3.90% and a tax-rate of 21.00%, LUV's cost of debt equals 3.08%. With these two values, it was found that LUV's WACC was 6.73% (as of 12/1/25).

After discounting all of the UFCF, the next step was to find the terminal value, which we did using the perpetuity growth method. For this, we assumed a very conservative perpetuity growth rate of 1.00%. Then, we discounted the terminal value to its present value and added it to all the discounted UFCF to get an enterprise value of \$19,463 million. After subtracting net debt and dividing by total diluted shares outstanding, we got an implied share price of \$35.31. As of market close on 12/3/25, this is a 1.03% premium (see Appendix K for this paragraph).

Target Price Difference

Using our DCF valuation model, we arrived at a base case implied share price of \$35.31 based on conservative assumptions for Southwest's key drivers. After running a sensitivity analysis on revenue growth and EBITDA margins, we found a bear case of \$25.27 and a bull case of \$42.16. This range lines up closely with Wall Street's outlook. TipRanks notes that, "Based on 12 Wall Street analysts offering 12-month price targets for Southwest Airlines in the last 3 months, the average price target is \$34.33 with a high forecast of \$42.00 and a low forecast of \$28.00." Our valuation fits almost exactly within that spread, suggesting our assumptions are in line with market expectations. As of 12/3/25, LUV trades at \$35.81, essentially right on top of our \$35.31 base case and slightly above the analyst average. The sensitivity table that we used can be seen below.

	EBITDA margin			Revenue Growth		
	\$35.31	4.00%	4.50%	5.00%	5.50%	6.00%
10.00%	\$42.16	\$43.14	\$44.14	\$45.15	\$46.18	
9.50%	\$37.94	\$38.83	\$39.73	\$40.64	\$41.58	
9.00%	\$33.72	\$34.51	\$35.31	\$36.14	\$36.97	
8.50%	\$29.49	\$30.19	\$30.90	\$31.63	\$32.37	
8.00%	\$25.27	\$25.88	\$26.49	\$27.12	\$27.76	

The small differences between our valuation, analyst estimates, and the current trading price show that Southwest is being priced very closely to its fundamentals. Any slight variation likely comes from different assumptions about travel demand, costs, or how quickly the company can improve margins. Overall, the gap between these values is very small, meaning our

model and analyst forecasts line up well with how the market currently views the stock.

Counterpoints / Risks

Southwest Airlines faces a range of structural and competitive risks that stem from its business model, cost structure, and market positioning. The airline's reliance on a single aircraft type, the Boeing 737, exposes it to significant operational and supply chain vulnerabilities, as demonstrated by the prolonged grounding of the 737 MAX. Southwest is also highly sensitive to fuel price volatility, which represents one of its largest operating expenses; while hedging mitigates some risk, sustained fuel price increases can rapidly compress margins. Additionally, Southwest's narrow domestic network and limited international exposure prevent it from capturing high-yield revenue streams available to legacy carriers, such as long-haul business travel and premium cabin demand. This structural limitation contributes to consistently lower revenue per available seat mile compared to Delta, American, and United.

Competitive and consumer-related risks further pressure Southwest's performance. The U.S. airline industry is intensely competitive, with major carriers and low-cost rivals frequently matching or undercutting Southwest's fares, especially on overlapping domestic routes. Rising labor costs and union negotiations create additional uncertainty, as more than 80 percent of Southwest's workforce is unionized. Moreover, the airline's heavy focus on leisure travelers makes it vulnerable during economic downturns when discretionary spending weakens. Operational and technology-related risks also remain top concerns, highlighted by the December 2022 scheduling-system failure that caused thousands of cancellations and damaged the company's reputation. Although Southwest continues investing in modernization, any future operational disruptions could lead to customer attrition, regulatory scrutiny, and increased financial pressure.

Catalysts & Investment Thesis

In conclusion, we rate NYSE: LUV as a HOLD for the following three reasons. One, Southwest will be unable to avoid the elevated post-COVID operating

costs within the airline industry. Two, while the demand for air travel is increasing, Southwest's revenue model and competitive positioning prevent it from fully capitalizing on it. Three, all company valuations indicate that Southwest is neither overvalued nor undervalued both intrinsically and relative to its peers.

Elevated Operating Costs: The pandemic had a lasting structural impact on the margins of airlines across the country. Fuel prices now make up 30% of operating costs and companies are spending an average of \$100 billion more on fuel than they did in 2019. For Southwest specifically, labor costs have been just as much of a headache. Since the airline relies on a single aircraft type (Boeing 737), it is subject to delivery delays and a high bargaining power of suppliers. Recently, these delays have forced Southwest to cut routes and reduce their fleet size, while still having to enter new labor agreements and pay existing employees on extended leave. However, Southwest is able to partially offset these lofted expenses through its low-cost structure. Because the airline only relies on one aircraft type, it pays less for maintenance, repairs, training, and scheduling. Moreover, it has a fully self-owned network, meaning that it doesn't depend on paid partnerships with regional partners or international hubs. As such, Southwest has an advantageous cost framework but operates within an industry that hasn't yet recovered from COVID.

Limited Ability to Capture Demand: Although the air travel industry is expected to surpass the trillion dollar mark and demand has normalized since the pandemic, Southwest's business model makes it ill-positioned to capitalize on this trend. Southwest's revenue primarily comes from shorter distance leisure trips from its core customers that are mainly middle-income consumers. Due to higher inflation and interest rates, these consumers have less discretionary income and are thereby cutting back on leisure travel. Meanwhile, demand from wealthier consumers is rising and they are increasingly opting for more expensive premium options. However, Southwest has been unable to monetize this demographic as it lacks the same higher-margin luxury cabins that its peers have already implemented. Instead, it serves as a bare bones and low fare alternative that doesn't align well in

today's K-shaped market. Therefore, earnings are expected to expand, but by a tame and limited degree.

Valuations Signal Limited Upside: As indicated by the relative valuation, Southwest has the highest P/E and TEV/EBITDA multiples in its competitive landscape. Likewise, its intrinsic valuation, the Discounted Cash Flow model computes a slight premium of 1.03%. Hence, it is clear that Southwest is not cheap enough to justify a BUY rating as it is actually slightly overvalued compared to its peers. At the same time, its implied share price isn't pessimistic enough to justify a SELL rating.

Appendix

Appendix A

Southwest Airlines Co. Income Statement

(USD in millions, except per share amounts)											
	12/31/14	12/31/15	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24
Passenger	\$17,658	\$18,299	\$19,068	\$19,763	\$20,455	\$20,776	\$7,665	\$14,066	\$21,408	\$23,637	\$24,980
Freight	175	179	171	173	175	172	161	187	177	175	175
Special revenue adjustment	0	172	0	0	0	0	0	0	0	0	0
Other	772	1,170	1,050	1,210	1,335	1,480	1,222	1,537	2,229	2,279	2,328
* Total operating revenues	\$18,605	\$19,820	\$20,289	\$21,146	\$21,965	\$22,428	\$9,048	\$15,790	\$23,814	\$26,091	\$27,483
Salaries, wages, and benefits	5,434	6,383	6,786	7,305	7,649	8,293	6,811	7,743	9,376	11,152	12,240
Payroll support and voluntary Employee programs, net	0	0	0	0	0	0	(967)	(2,960)	0	0	0
Fuel and oil	5,293	3,616	3,801	4,076	4,616	4,347	1,849	3,310	5,975	6,217	5,812
Maintenance materials and repairs	978	1,005	1,045	1,001	1,107	1,223	750	854	852	1,188	1,353
Aircraft rentals	295	238	0	0	0	0	0	0	0	0	0
Landing fees and other rentals	1,111	1,166	1,211	1,292	1,334	1,363	1,240	1,456	1,508	1,789	1,962
Acquisition and integration	126	39	0	0	0	0	0	0	0	0	0
Other operating expenses	2,205	2,242	2,703	2,847	2,852	3,026	1,926	2,394	3,735	3,999	4,138
* EBITDA	\$3,163	\$5,131	\$4,743	\$4,625	\$4,407	\$4,176	(\$2,561)	\$2,993	\$2,368	\$1,746	\$1,978
Depreciation and amortization	938	1,015	1,221	1,218	1,201	1,219	1,255	1,272	1,351	1,522	1,657
* Operating income (EBIT)	\$2,225	\$4,116	\$3,522	\$3,407	\$3,206	\$2,957	(\$3,816)	\$1,721	\$1,017	\$224	\$321
Interest expense	130	121	122	114	131	118	349	467	340	259	249
Capitalized interest	(23)	(31)	(47)	(49)	(38)	(36)	(35)	(36)	(39)	(23)	(35)
Interest income	(7)	(9)	(24)	(35)	(69)	(90)	(32)	(13)	(217)	(583)	(497)
Loss on extinguishment of debt	0	0	0	0	0	0	0	28	193	0	2
Other (gains) losses, net	309	556	21	112	18	8	158	(50)	12	(62)	4
* Income before income taxes (EBT)	\$1,816	\$3,479	\$3,450	\$3,265	\$3,164	\$2,957	(\$4,256)	\$1,325	\$728	\$633	\$598
Provision for Income Taxes	680	1,298	1,267	(92)	699	657	(1,182)	348	189	168	133
* Net Income	\$1,136	\$2,181	\$2,183	\$3,357	\$2,465	\$2,300	(\$3,074)	\$977	\$539	\$465	\$465
Net income per share, basic (in USD per share)	\$1.65	\$3.30	\$3.48	\$5.58	\$4.30	\$4.28	(\$5.44)	\$1.65	\$0.91	\$0.78	\$0.78
Net income per share, diluted (in USD per share)	\$1.64	\$3.27	\$3.45	\$5.57	\$4.29	\$4.27	(\$5.44)	\$1.61	\$0.87	\$0.76	\$0.76

Appendix B

Southwest Airlines Co. Balance Sheet

(USD in millions, except per share amounts)

(USD in millions, except per share amounts)												
	12/31/14	12/31/15	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24	
Assets:												
Cash and cash equivalents	\$1,282	\$1,583	\$1,680	\$1,495	\$1,854	\$2,548	\$11,063	\$12,480	\$9,492	\$9,288	\$7,509	
Short-Term Investments	1,706	1,468	1,625	1,778	1,835	1,524	2,271	3,024	2,800	2,186	1,216	
Accounts and other receivables	365	474	546	662	568	1,086	1,130	1,357	1,040	1,154	1,110	
Inventories of parts and supplies, at cost	342	311	337	420	461	529	414	537	790	807	800	
Prepaid expenses and other current assets	232	188	310	460	310	287	295	638	686	520	639	
* Total current assets	\$3,927	\$4,024	\$4,498	\$4,815	\$5,028	\$5,974	\$15,173	\$18,036	\$14,808	\$13,955	\$11,274	
Flight equipment	18,473	19,462	20,275	21,368	\$21,753	\$21,629	20,877	21,226	23,725	26,060	25,202	
Ground property and equipment	2,853	3,219	3,779	4,399	4,960	5,672	6,083	6,342	6,855	7,460	8,244	
Deposits on flight equipment purchase contracts	566	1,089	1,190	919	775	248	305	0	376	236	413	
Assets constructed for others	621	915	1,220	1,543	1,768	164	309	6	28	62	88	
Less allowance for depreciation and amortization	(8,221)	(9,084)	(9,420)	(9,690)	(9,731)	(10,688)	(11,743)	(12,732)	(13,642)	(14,443)	(14,891)	
Property and equipment, net	14,292	15,601	17,044	18,539	19,525	17,025	15,831	14,842	17,342	19,375	19,056	
Goodwill	970	970	970	970	970	970	970	970	970	970	970	
Operating lease right-of-use assets	0	0	0	0	0	1,349	1,892	1,590	1,394	1,223	1,369	
Other assets	534	717	774	786	720	577	722	882	855	964	1,081	
* Total assets	\$19,723	\$21,312	\$23,286	\$25,110	\$26,243	\$25,895	\$34,588	\$36,320	\$35,369	\$36,487	\$33,750	
Liabilities and Shareholders' Equity:												
Accounts payable	\$1,203	\$1,188	\$1,178	\$1,320	\$1,416	\$1,574	\$931	\$1,282	\$2,004	\$1,862	\$1,818	
Accrued liabilities	1,565	2,591	1,985	1,700	1,749	1,749	2,259	1,624	2,043	3,606	2,206	
Current operating lease liabilities	0	0	0	0	0	353	306	239	225	208	328	
Air traffic liability	2,897	2,990	3,115	3,495	4,134	4,457	3,790	5,566	6,064	6,551	6,294	
Current maturities of long-term debt	258	637	566	348	606	819	220	453	42	29	1,630	
* Total current liabilities	\$5,923	\$7,406	\$6,844	\$6,863	\$7,905	\$8,952	\$7,506	\$9,164	\$10,378	\$12,256	\$12,276	
Long-term debt less current maturities	2,434	2,541	2,821	3,320	2,771	1,846	10,111	10,274	8,046	7,978	5,069	
Air traffic liability - noncurrent	0	0	0	1,070	936	1,053	3,343	2,159	2,186	1,728	1,948	
Deferred income taxes	2,782	2,490	3,374	2,119	2,427	2,364	1,634	1,770	1,985	2,044	2,167	
Construction obligation	554	757	1,078	1,390	1,701	164	309	0	0	0	0	
Noncurrent operating lease liabilities	0	0	0	0	0	978	1,562	1,315	1,118	985	1,031	
Other noncurrent liabilities	1,255	760	728	707	650	706	1,247	1,224	969	981	909	
* Total liabilities	\$12,948	\$13,954	\$14,845	\$15,469	\$16,390	\$16,063	\$25,712	\$25,906	\$24,682	\$25,972	\$23,400	
* Shareholders' equity:												
Common stock	\$808	\$808	\$808	\$808	\$808	\$808	\$888	\$888	\$888	\$888	\$888	
Additional paid-in capital	1,315	1,374	1,410	1,451	1,510	1,581	4,191	4,224	4,037	4,153	4,199	
Retained earnings	7,416	9,409	11,418	13,832	15,967	17,945	14,777	15,774	16,261	16,297	16,332	
* Accumulated other comprehensive income (loss)	(738)	(1,051)	(323)	12	20	(61)	(105)	388	344	0	(25)	
Common stock held in treasury, at cost	(2,026)	(3,182)	(4,872)	(6,462)	(8,452)	(10,441)	(10,875)	(10,860)	(10,843)	(10,823)	(11,044)	
* Total stockholders' equity	\$6,775	\$7,358	\$8,441	\$9,641	\$9,853	\$9,832	\$8,876	\$10,414	\$10,687	\$10,515	\$10,350	
* Total liabilities and stockholders' equity	\$19,723	\$21,312	\$23,286	\$25,110	\$26,243	\$25,895	\$34,588	\$36,320	\$35,369	\$36,487	\$33,750	
Check	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	
Debt	\$2,692	\$3,178	\$3,387	\$3,668	\$3,377	\$2,665	\$10,331	\$10,727	\$8,088	\$8,007	\$6,699	
Diluted Shares Out	696	669	633	603	574	539	565	609	642	640	643	
Stock Price	\$41.92	\$44.34	\$49.84	\$65.45	\$46.48	\$53.98	\$46.61	\$42.84	\$33.67	\$28.88	\$33.62	
Market Cap	\$29,176	\$29,663	\$31,549	\$39,466	\$26,680	\$29,095	\$26,335	\$26,090	\$21,616	\$18,483	\$21,618	
Total Capital	\$31,868	\$32,841	\$34,936	\$43,134	\$30,057	\$31,760	\$36,666	\$36,817	\$29,704	\$26,490	\$28,317	
Debt / Total Capital	8.4%	9.7%	9.7%	8.5%	11.2%	8.4%	28.2%	29.1%	27.2%	30.2%	23.7%	
										3-year avg	27.0%	
										5-year avg	27.7%	
										7-year avg	22.6%	
										10-year av	18.6%	
										MIN	8.4%	
										MAX	30.2%	

Appendix C

Southwest Airlines Co. - Summary

(\$ in millions)

	Historical										
	12/31/14	12/31/15	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	#####	12/31/23	12/31/24
Size											
Sales	\$18,605	\$19,820	\$20,289	\$21,146	\$21,965	\$22,428	\$9,048	\$15,790	#####	\$26,091	\$27,483
EBITDA	3,163	5,131	4,743	4,625	4,407	4,176	(2,561)	2,993	2,368	1,746	1,978
EBIT	2,225	4,116	3,522	3,407	3,206	2,957	(3,816)	1,721	1,017	224	321
Net Income	1,136	2,181	2,183	3,357	2,465	2,300	(3,074)	977	539	465	465
OCF	2,902	3,238	4,293	3,929	4,893	3,987	(1,127)	2,322	3,790	3,164	462
Capex	1,748	2,041	2,038	2,123	1,922	1,027	515	505	3,924	3,520	2,054
Dividends	139	188	235	286	348	377	94	0	107	429	430
Receivables	365	474	546	662	568	1,086	1,130	1,357	1,040	1,154	1,110
Inventories	342	311	337	420	461	529	414	537	790	807	800
Accounts Payable	1,203	1,188	1,178	1,320	1,416	1,574	931	1,282	2,004	1,862	1,818
Assets	19,723	21,312	23,286	25,110	26,243	25,895	34,588	36,320	35,369	36,487	33,750
Debt	2,692	3,178	3,387	3,668	3,377	2,665	10,331	10,727	8,088	8,007	6,699
Equity	6,775	7,358	8,441	9,641	9,853	9,832	8,876	10,414	10,687	10,515	10,350
Total Capital	9,467	10,536	11,828	13,309	13,230	12,497	19,207	21,141	18,775	18,522	17,049
Profitability											
Sales growth		6.5%	2.4%	4.2%	3.9%	2.1%	(59.7%)	74.5%	50.8%	9.6%	5.3%
EBITDA margin		25.9%	23.4%	21.9%	20.1%	18.6%	(28.3%)	19.0%	9.9%	6.7%	7.2%
EBIT margin		20.8%	17.4%	16.1%	14.6%	13.2%	(42.2%)	10.9%	4.3%	0.9%	1.2%
Profit margin		11.0%	10.8%	15.9%	11.2%	10.3%	(34.0%)	6.2%	2.3%	1.8%	1.7%
Asset Utilization		0.97x	0.91x	0.87x	0.86x	0.86x	0.30x	0.45x	0.66x	0.73x	0.78x
ROA		10.6%	9.8%	13.9%	9.6%	8.8%	(10.2%)	2.8%	1.5%	1.3%	1.3%
Total Assets (AVG)		20,518	22,299	24,198	25,677	26,069	30,242	35,454	35,845	35,928	35,119
Common Equity (AVG)		7,067	7,900	9,041	9,747	9,843	9,354	9,645	10,551	10,601	10,433
Leverage		2.90x	2.82x	2.68x	2.63x	2.65x	3.23x	3.68x	3.40x	3.39x	3.37x
ROE		30.9%	27.6%	37.1%	25.3%	23.4%	(32.9%)	10.1%	5.1%	4.4%	4.5%
EBIT		4,116	3,522	3,407	3,206	2,957	(3,816)	1,721	1,017	224	321
Taxes		1,298	1,267	(92)	699	657	(1,182)	348	189	168	133
NOPAT		2,818	2,255	3,499	2,507	2,300	(2,634)	1,373	828	56	188
Total Capital (AVG)		10,002	11,182	12,569	13,270	12,864	15,852	20,174	19,958	18,649	17,786
ROIC		28.2%	20.2%	27.8%	18.9%	17.9%	(16.6%)	6.8%	4.1%	0.3%	1.1%
Dividends		188	235	286	348	377	94	0	107	429	430
Net Income		2,181	2,183	3,357	2,465	2,300	(3,074)	977	539	465	465
Payout ratio		8.6%	10.8%	8.5%	14.1%	16.4%	(3.1%)	0.0%	19.9%	92.3%	92.5%
Leverage & Coverage											
Debt to Total Capital		30.2%	28.6%	27.6%	25.5%	21.3%	53.8%	50.7%	43.1%	43.2%	39.3%
Debt to EBITDA		0.62x	0.71x	0.79x	0.77x	0.64x	(4.03x)	3.58x	3.42x	4.59x	3.39x
FCF / Interest		25.54x	22.17x	21.95x	18.97x	26.69x	(8.81x)	5.33x	(4.58x)	(6.85x)	(0.31x)
Working Capital											
Capex Intensity		10.3%	10.0%	10.0%	8.8%	4.6%	5.7%	3.2%	16.5%	13.5%	7.5%
Revenues		\$19,820	\$20,289	\$21,146	\$21,965	\$22,428	\$9,048	\$15,790	\$23,814	\$26,091	\$27,483
Revenues per day		54	56	58	60	61	25	43	65	71	75
Receivables (AVG)		474	510	604	615	827	1,108	1,244	1,199	1,097	1,132
Days Sales Outstanding		8.7	9.2	10.4	10.2	13.5	44.7	28.7	18.4	15.3	15.0

Note: FCF Defined as EBITDA less Capex

Appendix D

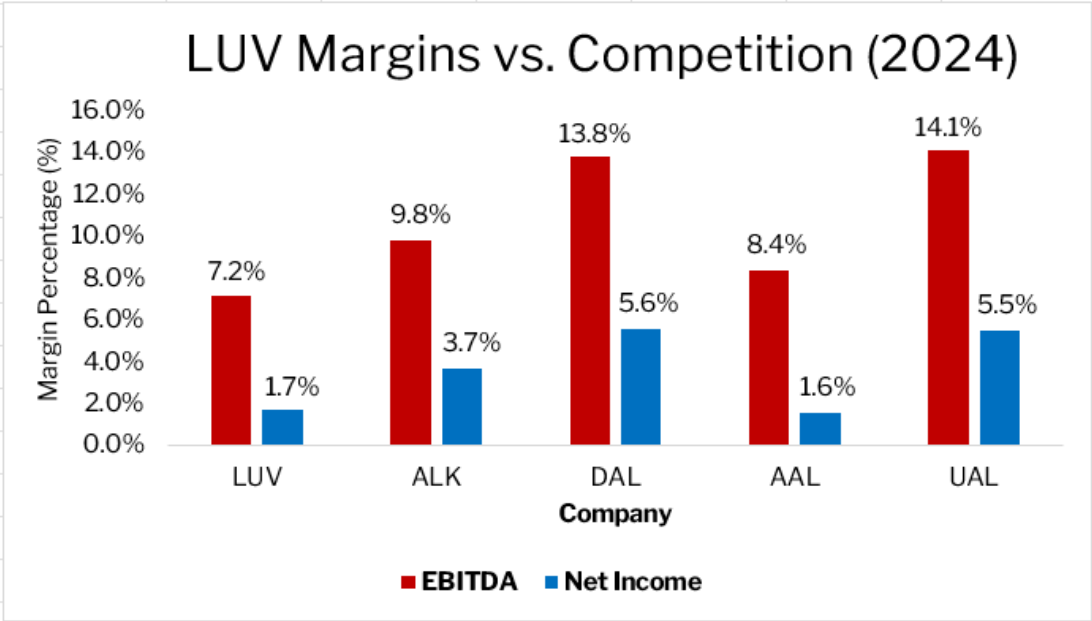
Southwest Airlines Co. Calculations

(USD in millions, except per share data)											
	12/31/14	12/31/15	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	12/31/23	12/31/24
Retained Earnings											
Beginning Balance (Previous Ending)		\$7,416	\$9,409	\$11,357	\$13,832	\$15,967	\$17,945	\$14,777	\$15,774	\$16,261	\$16,297
Net Income		2,181	2,183	3,357	2,465	2,300	(3,074)	977	539	465	465
Dividends Paid (from SOE)		188	235	286	348	377	94	0	107	429	430
Cumulative effect of change in accounting principle		0	0	(596)	18	55	0	20	55	0	0
Ending Balance (CALCULATED)	\$7,416	\$9,409	\$11,357	\$13,832	\$15,967	\$17,945	\$14,777	\$15,774	\$16,261	\$16,297	\$16,332
Check (Actual from Balance Sheet)		9,409	11,418	13,832	15,967	17,945	14,777	15,774	16,261	16,297	16,332
		0.00	(61.00)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Intangibles											
Beginning Balance (Previous Ending)		\$363	\$464	\$426	\$413	\$319	\$295	\$295	\$295	\$296	\$296
NEW Intangibles		120	(21)	0	(78)	(9)	0	0	1	0	0
Amortization		19	17	13	16	15	0	0	0	0	0
Ending Balance (From 10K Notes)	\$363	\$464	\$426	\$413	\$319	\$295	\$295	\$295	\$296	\$296	\$296
PP&E (Property, Plant & Equipment)											
Beginning Balance (Previous Ending)		\$14,292	\$15,601	\$17,044	\$18,539	\$19,525	\$17,025	\$15,831	\$14,842	\$17,342	\$19,375
Capital Expenditures (Actual from CFS)		2,041	2,038	2,123	1,922	1,027	515	505	3,924	3,520	2,054
Depreciation (Calculated Below)		996	1,204	1,205	1,185	1,204	1,255	1,272	1,351	1,522	1,657
Ending Balance (Actual from B/S)	\$14,292	\$15,601	\$17,044	\$18,539	\$19,525	\$17,025	\$15,831	\$14,842	\$17,342	\$19,375	\$19,056
Depreciation & Amortization (from CFS)	\$938	\$1,015	\$1,221	\$1,218	\$1,201	\$1,219	\$1,255	\$1,272	\$1,351	\$1,522	\$1,657
Amortization of definite-lived intangible assets	13	19	17	13	16	15	0	0	0	0	0
Depreciation (D&A - A)	\$925	\$996	\$1,204	\$1,205	\$1,185	\$1,204	\$1,255	\$1,272	\$1,351	\$1,522	\$1,657
Operating Working Capital ((CA-Cash) - (CL - ST Debt))											
Accounts and other receivables	\$365	\$474	\$546	\$662	\$568	\$1,086	\$1,130	\$1,357	\$1,040	\$1,154	\$1,110
Other assets	534	717	774	786	720	577	722	882	855	964	1,081
Total Operating Assets	\$899	\$1,191	\$1,320	\$1,448	\$1,288	\$1,663	\$1,852	\$2,239	\$1,895	\$2,118	\$2,191
Accounts payable	1,203	1,188	1,178	1,320	1,416	1,574	931	1,282	2,004	1,862	1,818
Accrued liabilities	1,565	2,591	1,985	1,700	1,749	1,749	2,259	1,624	2,043	3,606	2,206
Air traffic liability	2,897	2,990	3,115	3,495	4,134	4,457	3,790	5,566	6,064	6,551	6,294
Other liabilities	0	0	0	0	0	(277)	(306)	(103)	(334)	(137)	(197)
Total Operating Liabilities	\$5,665	\$6,769	\$6,278	\$6,515	\$7,299	\$7,503	\$6,674	\$8,369	\$9,777	\$11,882	\$10,121
Operating Assets (Cash Flow)		(\$292)	(\$129)	(\$128)	\$160	(\$375)	(\$189)	(\$387)	\$344	(\$223)	(\$73)
Operating Liabilities (Cash Flow)		1,104	(491)	237	784	204	(829)	1,695	1,408	2,105	(1,761)
Operating Working Capital (Cash Flow)		\$812	(\$620)	\$109	\$944	(\$171)	(\$1,018)	\$1,308	\$1,752	\$1,882	(\$1,834)

LUV Margins vs. Competition (2024)

(\$ in millions)

Company	LUV	ALK	DAL	AAL	UAL
EBITDA	7.2%	9.8%	13.8%	8.4%	14.1%
Net Income	1.7%	3.7%	5.6%	1.6%	5.5%



Appendix F

LUV Trading Comparables

(in millions)

Ticker	LUV		AAL		DAL		UAL	
Company	Southwest Airlines		American Airlines		Delta Airlines		United Airlines	
Price (12/3/25)	\$35.68		\$14.56		\$67.49		\$108.48	
Shares Out	517		660		653		324	
Options Ex.	1		0		1		0	
FD Shares Out	518		660		654		324	
FD Equity Value	\$18,473		\$9,611		\$44,150		\$35,119	
Total Debt	4,102		\$28,717		14,879		25,428	
Cash	2,902		835		3,791		6,730	
Net Debt	\$1,200		\$27,882		\$11,088		\$18,698	
Preferreds/Convertibles	\$0		\$0		\$0		\$0	
Minority Interests	0		0		0		0	
Associate Investments	0		563		0		0	
TEV	\$19,673		\$36,930		\$55,238		\$53,817	
Sales (P/S)	Metric	Multiple	Metric	Multiple	Metric	Multiple	Metric	Multiple
LTM	\$27,551	0.7x	\$54,294	0.2x	\$62,920	0.7x	\$58,368	0.6x
Annualized Stub	27,495	0.7x	54,179	0.2x	63,148	0.7x	58,231	0.6x
EBITDA (TEV/EBITDA)								
LTM	\$1,911	10.3x	\$4,073	9.1x	\$8,536	6.5x	\$7,694	7.0x
Annualized Stub	1,635	12.0x	3,239	11.4x	8,237	6.5x	7,239	7.4x
Earnings (P/E)								
LTM	\$379	48.7x	\$602	16.0x	\$4,629	9.5x	\$3,296	10.7x
Annualized Stub	157	117.4x	16	600.7x	5,048	8.7x	3,079	11.4073
Capex								
LTM	\$2,274		\$2,889		\$3,676		\$5,660	
Annualized Stub	2,419		2,865		4,789		5,312	
FCF (P/FCF)								
LTM	(\$363)	(50.9x)	\$1,184	8.1x	\$4,860	9.1x	\$2,034	17.3x
Annualized Stub	(784)	(23.6x)	373	25.7x	3,448	12.8x	1,927	18.2x

Note: Prices as of market close 12/3/25. FCF = EBITDA - Capex.

Source: SEC Filings and Yahoo! Finance

<u>LUV Options Calc</u>				
# of Options Ex	Wgthd Avg Strike Price	Current Price	In the Money?	Shares in the money
2.227	\$26.38	\$35.68	YES	0.58046805
Source: LUV, 10K, 12/31/24, pg. 127				
<u>AAL Options Calc</u>				
# of Options Ex	Wgthd Avg Strike Price	Current Price	In the Money?	Shares in the money
0	\$0.00	\$14.56	YES	0
Source: AAL, 10K, 12/31/24, pg. 5				
<u>DAL Options Calc</u>				
# of Options Ex	Wgthd Avg Strike Price	Current Price	In the Money?	Shares in the money
5	\$50.41	\$67.49	YES	1.21475774
Source: DAL, 10K, 12/31/24, pg. 88				
<u>UAL Options Calc</u>				
# of Options Ex	Wgthd Avg Strike Price	Current Price	In the Money?	Shares in the money
0	\$0.00	\$108.48	YES	0
Source: UAL, 10K, 12/31/24				

<u>LUV LTM Calc</u>				
	9 months		9 months	
	9/30/24	2024	9/30/25	LTM
Operating Re	\$20,553	\$27,483	\$20,621	\$27,551
Op. Income	\$43	\$321	\$37	315
D&A	1,250	1,657	1,189	1,596
EBITDA	\$1,293	\$1,978	\$1,226	\$1,911
Capex	1,594	2,054	1,814	2,274
FCF	(\$301)	(\$76)	(\$588)	(\$363)
Net Income	204	465	118	379
Source: LUV, 10Q, 9/30/25, pgs. 4 & 7				
LUV, 10K, 12/31/24, pgs. 98 & 99				
<u>AAL LTM Calc</u>				
	9 months		9 months	
	9/30/24	2024	9/30/25	LTM
Operating Re	\$40,551	\$54,211	\$40,634	\$54,294
Op. Income	1,480	2,614	1,015	2,149
D&A	1,416	1,926	1,414	1,924
EBITDA	\$2,896	\$4,540	\$2,429	\$4,073
Capex	1,943	2,683	2,149	2,889
FCF	\$953	\$1,857	\$280	\$1,184
Net Income	256	846	12	602
Source: AAL, 10Q, 9/30/25, pgs. 5 & 8				
AAL, 10K, 12/31/24, pgs. 127 & 130				

<u>DAL LTM Calc</u>				
	9 months		9 months	
	9/30/24	2024	9/30/25	LTM
Operating Re	\$46,084	\$61,643	\$47,361	\$62,920
Op. Income	4,278	5,995	4,355	6,072
D&A	1,872	2,513	1,823	2,464
EBITDA	\$6,150	\$8,508	\$6,178	\$8,536
Capex	3,830	3,914	3,592	3,676
FCF	\$2,320	\$4,594	\$2,586	\$4,860
Net Income	2,614	3,457	3,786	4,629
Source: DAL, 10Q, 9/30/25, pgs. 4 & 5				
DAL, 10K, 12/31/24, pgs. 56 & 58				
<u>UAL LTM Calc</u>				
	9 months		9 months	
	9/30/24	2024	9/30/25	LTM
Operating Re	\$42,368	\$57,063	\$43,673	\$58,368
Op. Income	\$3,593	\$5,099	\$3,238	4,744
D&A	2,169	2,928	2,191	2,950
EBITDA	\$5,762	\$8,027	\$5,429	\$7,694
Capex	3,940	5,616	3,984	5,660
FCF	\$1,822	\$2,411	\$1,445	\$2,034
Net Income	2,164	3,151	2,309	3,296
Source: UAL, 10Q, 9/30/25, pgs. 3 & 6				
UAL, 10K, 12/31/24, pgs. 59 & 62				

Appendix G

1. Alaska Air Group's (ALK) buyout Hawaiian Holdings (HA) announced on 12/3/23

(\$ and shares in millions, except per share data)

Cash Offer	\$977.00			1/26/12	Stock
Stock Offer	0.00		ALK shs	Close	Offer
Total Offer	\$977.00		0.12	\$47.12	\$0.00
Shs Out	52.0				
Options	0.0				
FD Shares Out	52.0				
FD Equity Value	\$977.0				
Debt	2,336.0				
Cash	153.3				
Net Debt	\$2,182.7				
Preferreds/Converts	0.0				
Minority Interest	0.0				
TEV	\$3,159.7				
LTM Sales	\$2,716	0.36x			

3) Alaska Air Group, Inc. (ALK) buyout of Virgin America (VA) announced on 4/4/16

Operating Income	(\$293)
Depreciation & Amortization	134

(\$ and shares in thousands, except per share data [offer price and shs out])

LTM EBITDA	(\$160)	(19.79x)	Cash Offer	\$57.00
LTM Capex	290		Stock Offer	0
LTM FCF	(\$450)	(2.17x)	Total Offer	\$57
LTM Earnings	(\$260)	(3.75x)	Offer Price (12/14/16)	\$57.00
			Shs Out	44,645
			Options	0
			FD Equity Value	\$2,544,765.0
			Debt	\$307,741
			Cash	\$496,346
			Net Debt	(\$188,605.0)
			Preferreds/Converts	0
			Minority Interest	0
			TEV	\$2,356,160.0

Note: FCF defined as EBITDA less Capex.

LTM Sales	\$1,529,584	1.66x
Operating Income	\$177,239	
Other operating income, net	(3,572)	
Depreciation & Amortization	18,637	
LTM EBITDA	\$192,304	12.25x
LTM Capex	248,766	
LTM FCF	(\$56,462)	(45.07x)
LTM Earnings	\$340,537	7.47x

Note: FCF defined as EBITDA less Capex.

2) JetBlue's (JBLU) failed buyout of Spirit (SAVE) based on \$33.50 on 10/19/22

(\$ and shares in thousands, except per share data)

Offer Price (10/19/22)	\$33.50	
Shs Out	109124.8	
Options	0.0	
FD Equity Value	\$3,655,679.1	
Debt	\$3,439,000.0	
Cash	865,211.0	
Net Debt	\$2,573,789.0	
Preferrreds/Converts	0.0	
Minority Interest	0.0	
TEV	\$6,229,468.1	
LTM Sales	\$5,362,549	0.68x
EBIT	(\$495,757)	
One-Time Items	\$0	
D&A	\$320,872	
LTM EBITDA	(\$174,885)	(35.62x)
LTM Capex	\$255,563	
LTM FCF	(\$430,448.0)	(8.49x)
LTM Earnings	(\$447,464.0)	(8.17x)

SAVE Options Table				
# of options	Wght Avg Ex Price	Offer Price 2/1/2012	In the Money?	Shares in the money
EX 0	\$24.76	\$33.50	YES	0

Appendix H

LUV DCF

(\$ in millions)

	1	2	3	4	5		
	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Sales	\$26,091	\$27,483	\$28,857	\$30,300	\$31,815	\$33,406	\$35,076
EBITDA	1,746	1,978	2,597	2,727	2,863	3,007	3,157
D&A	1,522	1,657	1,731	1,818	1,909	2,004	2,105
EBIT	224	321	866	909	954	1,002	1,052
Unlevered taxes	168	133	182	191	200	210	221
Changes in working capital (CF)	2,540	(679)	577	606	636	668	702
Capex	3,520	2,054	2,020	2,121	2,227	2,338	2,455
Add back: D&A	1,522	1,657	1,731	1,818	1,909	2,004	2,105
Undiscounted annual FCF	598	(888)	972	1,021	1,072	1,126	1,182
Terminal value							20,844
Total undiscounted FCF			972	1,021	1,072	1,126	22,026
Discount factor			0.937	0.878	0.823	0.771	0.722
Discounted Free Cash Flow			911	896	882	868	15,906

Appendix I

Forecast drivers	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E
Revenue growth	50.8%	9.6%	5.3%	5.0%	5.0%	5.0%	5.0%	5.0%
EBITDA margin	9.9%	6.7%	7.2%	9.0%	9.0%	9.0%	9.0%	9.0%
Capex as a % of revenue	16.5%	13.5%	7.5%	7.0%	7.0%	7.0%	7.0%	7.0%
D&A as a % of revenue	5.7%	5.8%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Taxes / EBIT	18.6%	75.0%	41.4%	21.0%	21.0%	21.0%	21.0%	21.0%
Changes in working capital	7.8%	9.7%	(2.5%)	2.0%	2.0%	2.0%	2.0%	2.0%

Appendix J

WACC Calculation

Cost of equity

Risk-free rate	3.60%
Adjusted beta	1.18
EMRP	3.79%
Cost of equity	8.07%

Cost of debt

Pre-tax cost of debt	3.90%
Tax rate	21.00%
Post-tax cost of debt	3.08%

WACC	6.73%
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Appendix K

Implied share price

Enterprise value	19,463
Debt	4,102
Cash	2,902
NCI	--
Associate Investments	--
Equity value	18,263
NOSH	517
Implied share price	\$35.31
Current price (12/3/25)	\$35.68
(Discount) / premium	1.03%

Sources

- LUV 10-Q for the period ending 09/30/2024 Access: SEC EDGAR
- LUV 10-Q for the period ending 06/30/2024 Access: SEC EDGAR
- LUV 10-Q for the period ending 03/31/2024 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2024 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2023 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2022 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2021 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2020 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2019 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2018 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2017 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2016 Access: SEC EDGAR
- LUV 10-K for the period ending 12/31/2015 Access: SEC EDGAR
- DAL 10-K for the period ending 12/31/2024 Access: SEC EDGAR
- DAL 10-Q for the period ending 09/30/2025 Access: SEC EDGAR
- UAL 10-K for the period ending 12/31/2025 Access: SEC EDGAR
- UAL 10-Q for the period ending 09/30/2025 Access: SEC EDGAR
- AAL 10-K for the period ending 12/31/2025 Access: SEC EDGAR
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